



LEGAL NOTICE NO.....

THE VIRTUAL ASSETS SERVICE PROVIDERS ACT

(No.20 of 2025)

**THE VIRTUAL ASSETS SERVICE PROVIDERS
REGULATIONS, 2025**

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THE VIRTUAL ASSETS SERVICE PROVIDERS ACT

(No. 20 of 2025)

IN EXERCISE of the powers conferred by section 49 of the Virtual Assets Service Providers Act, 2025, the Cabinet Secretary to the National Treasury, on the advice of the relevant regulatory authorities, makes the following Regulations —

THE VIRTUAL ASSETS SERVICE PROVIDERS REGULATIONS, 2025

PART I—PRELIMINARY

Citation

1. These Regulations may be cited as Virtual Assets Service Providers Regulations, 2025.

Interpretation

2. In these Regulations, unless the context otherwise requires—

No. 20 of 2025.

“Act” means the Virtual Assets Service Providers Act, 2025;

“AML/CFT/CPF” has the meaning assigned to it under section 2 of the Act;

“advertisement” means to make a representation for the purposes of directly or indirectly promoting virtual assets and services through any medium and in any form, including—

- (a) magazines and newspapers;
- (b) radio and television;
- (c) outdoor advertising, including billboards, window displays and signs at public venues;
- (d) the internet, including web pages, banner advertisements, online messaging services and social media and networking platforms;
- (e) product brochures and promotional fact sheets;
- (f) direct mail, including post, facsimile or email;
- (g) white papers or prospectus;
- (h) telemarketing activities; and
- (i) seminars and presentations to individuals or such other groups of individuals, whether held

in person or online, conducted in live format or recorded and made available for public access thereafter, which are distributed through any medium;

“asset-referenced stablecoin” means a type of stablecoin that is not a *fiat* stablecoin and that purports to maintain a stable value by referencing another value, commodities or right or a combination thereof;

“client assets” means any virtual assets owned by a client, including stablecoins;

“cyber security” means an approach or series of steps to prevent or manage the risk of damage to, unauthorized use of, exploitation of and, as needed, to restore electronic information and communications systems, and the information they contain, in order to strengthen the confidentiality, integrity, and availability of these systems;

“cyber security event” means any act or attempt, successful or unsuccessful, to gain unauthorized access to disrupt, or misuse the electronic systems or information stored on such systems;

“cyber security risk” means the risk of financial loss, operational disruption or damage from the failure of the digital technologies employed for informational or operational functions introduced to an information system via electronic means from the unauthorized access, use, disclosure, disruption, modification, or destruction of the information system;

“consumer” means a person who uses, has used, or is or may be contemplating using directly or indirectly any of the products or services provided by a virtual asset service provider or is intended to receive an advertisement;

“fiat-backed stablecoin” means a type of stablecoin that purports to maintain a stable value by being pegged 1:1 to the value of a fiat currency;

“forks” means changes to the software on which a distributed ledger technology protocol operates;

“paid-up capital” means the money received from shareholders as guarantee for the licensee to meet its liabilities in the eventuality of bankruptcy or winding-down; and

“reserve assets” means virtual assets that are held by a licensee as a store of value or to back the value of its virtual assets issued or being held strictly for discharging liabilities.

Application of these Regulations.

3. (1) These Regulations shall apply to all virtual assets service providers under the Act.

(2) These Regulations shall be read in conjunction with the Act, guidelines issued by the relevant regulatory authorities, the Proceeds of Crimes and Anti-Money Laundering Act, the Prevention of Terrorism Act and any other relevant written law.

Fees payable.

4. (1) The fees payable under these Regulations shall be as set out in the First Schedule of these Regulations.

(2) The withdrawal of any application under these Regulations shall result in the forfeiture of the application fee.

PART II—LICENSING REQUIREMENTS

Application for a licence.

5. (1) An application for a license to offer one or more of the permissible activities pursuant to section 10(1) of the Act shall be made in such a manner as the relevant regulatory authority may specify containing the information set out in the Second Schedule.

(2) An application for a licence under sub regulation (1) shall be accompanied by—

- (a) the personal details, qualifications, experience, business interests and occupation of the applicant’s—
 - (i) directors;
 - (ii) senior officers;
 - (iii) significant shareholders;
 - (iv) beneficial owner;
- (b) a business plan prepared in accordance with the Third Schedule to these Regulations;
- (c) a dully filled fit and proper assessment form as provided for in the Fourth Schedule to these Regulations;

- (d) source of funds;
- (e) a description of the systems and controls of the proposed virtual asset business;
- (f) the operational policies that shall guide the applicant's activities including—
 - (i) the risk management policies;
 - (ii) the AML/CFT/CPF policies;
 - (iii) the cybersecurity and information technology policy;
 - (iv) the complaints managements policy;
- (g) copies of contracts and any arrangements for oversight of activities as the relevant regulatory authority may require, where applicable;
- (h) evidence of the paid-up capital (paid up share capital and reserves), shareholders' funds and liquid capital at the amount specified in the Fifth Schedule;
- (i) the audited financial statements for two years prior to the submission of the application or the opening financial statements verified by an auditor, as applicable;
- (j) evidence of human and technology resources sufficient to efficiently operate and manage the virtual asset business as required in regulation 17;
- (k) in the case of virtual asset exchange, virtual asset offerings and virtual asset wallet providers, the business rules of the applicant prepared in accordance with regulation 19;
- (l) evidence of adequate systems and controls to maintain market integrity prepared in accordance with these Regulations, including avoidance of market abuse;
- (m) the class of virtual assets intended to be traded or available for subscription;
- (n) the details of the applicant's principal business

address and website;

- (o) a certified copy of the certificate of incorporation of the applicant;
- (p) the details of the directors and shareholders of the applicant issued by the Registrar of Companies (CR12);
- (q) a copy of the register of beneficial owners prepared issued by the Registrar of Companies;
- (r) proof of payment of the application fee specified in the First Schedule; and
- (s) any additional requirements as contained in the Act.

(3) An applicant shall, upon the request of the relevant regulatory authority, participate in an interview, to obtain further information concerning its application or supporting information and records.

Issuance of licence

6. (1) Where the relevant regulatory authority is satisfied that the applicant meets the requirements of section 11 of the Act, the relevant regulatory authority may issue the applicant with a virtual asset service provider licence upon payment of licence fee prescribed under the First Schedule.

(2) A licence issued under this regulation may contain such conditions as the relevant regulatory authority may determine.

Commencement of virtual asset business.

7. Upon grant of licence under the Act, a licensee shall commence its virtual asset business immediately on the date of grant of licence and not later than one year from the date the licence was granted.

Authorised dealer.

8. (1) All virtual asset service providers dealing in conversion of virtual assets to or from foreign currency shall be required to obtain authorization as authorized dealer.

(2) For purposes of this regulation, an authorised dealer means.....

Alteration of facts disclosed in application.

9. An applicant for a licence under regulation 5 shall give written notice to the relevant regulatory authority of—

- (a) any proposed alteration to the information in the original application; or
- (b) the occurrence of any material event which it knows affects or may affect information provided with the application to the relevant regulatory authority.

Grounds for refusal to issue a licence.

10. The relevant regulatory authority may refuse an application where—

- (a) the applicant repeatedly fails to respond to requests for clarification or further information from the relevant regulatory authority concerning its application or any of the supporting information or records;
- (b) the applicant fails to comply with a request to participate in an interview made under regulation 5(3);
- (c) the applicant, in the opinion of the relevant regulatory authority, does not have the requisite capability to comply with the AML/CFT/CPF requirements;
- (d) the applicant's directors, or such other relevant persons fail to meet the fit and proper criteria set out in section 18 of the Act;
- (e) the organization structure of the applicant would render effective supervision difficult;
- (f) the granting of the licence is against public policy or interest;
- (g) the applicant has a history of regulatory breaches or non-compliance with prudential, AML/CFT/CPF or any other regulatory requirements, either in the Kenya or any other jurisdiction in which the applicant is or has been licensed as a virtual asset service provider;
- (h) the applicant has been identified by the relevant regulatory authority in another jurisdiction as operating without the requisite licence or authorisation.

False and misleading

11.(1) A person shall not, in connection with an application submitted to the relevant regulatory authority

statements.

for a licence under these Regulations—

- (a) make a statement to the relevant regulatory authority which he or she knows or ought reasonably to know is false or misleading; or
- (b) omit to state any matter to the relevant regulatory authority where he or she knows or ought reasonably to know that, because of the omission, the application is misleading.

(2) Any person who contravenes sub regulation (1) commits an offence and is liable to a fine not exceeding three million shillings or to imprisonment for a term not exceeding three years or to both.

Assignment and
transfer of licence.

12.(1) A licensee who wishes to assign or transfer a licence issued under these Regulations shall, on payment of the fee set out in the First Schedule, make an application to the relevant regulatory authority for the assignment or transfer of the licence.

(2) An assignment or transfer made by a licensee in contravention of subsection (1) shall be null and void and constitute sufficient grounds for the relevant regulatory authority to revoke the license.

Statutory management

Appointment of
statutory manager.

13. (1) Where the relevant regulatory authority exercises its power under section 15 of the Act, the authority shall, by notice in the *Gazette*, appoint a statutory manager to manage customer assets for a period not exceeding twelve months.

(2) The term of the statutory manager may be extended for a further term not exceeding twelve months with the approval of the competent court.

Functions and
powers of a statutory
manager.

14. (1) The functions of a statutory manager shall include—

- (a) taking control of the assets of the licensee for purposes of safeguarding monies and virtual assets belonging to customers; and
- (b) overseeing and administering the settlement of monies belonging to customers.

(2) In the performance of his or her functions under subregulation (1), a statutory manager shall have powers

necessary for the performance of their functions and in particular shall have the power to declare a moratorium for purposes of safeguarding monies and virtual assets belonging to customers.

(3) Where the statutory manager has assumed control of a licensee, they shall have the power—

- (a) to enter into any premises of licensee and take possession and control of the assets and require any person in the premises to account for and deliver up to the statutory manager possession and control of the assets;
- (b) to sell or otherwise dispose of any asset that is subject to an agreement creating a security interest to any person who agrees to assume the obligation secured by the security interest;
- (c) subject to paragraph (b), to sell or otherwise dispose of the assets and business undertaking of the licensee by private treaty or public sale or in such other manner and on such terms and conditions as the statutory manager deems appropriate;
- (d) to arrange for the assumption of all or any part of the liabilities of a licensee by a person;
- (e) to carry on the business of a licensee to the extent that the statutory manager deems necessary or beneficial;
- (f) to sue for, defend, compromise and settle, in the name of the licensee, any claim made by or against it;
- (g) in the name of the licensee, to do all acts and execute all receipts and other documents; and
- (h) to recover out of the assets of the licensee all the costs, charges and expenses, including remuneration, properly incurred by the statutory manager in the exercise of powers, in priority to all other claims.

(4) Where the statutory manager exercises one or more powers under this regulation, the statutory manager shall not, by reason of the exercise of such powers, be held to have assumed or incurred any obligation or liability of the

licensee for its own account.

PART III —PROVISIONS ON ONGOING REQUIREMENTS

Ongoing
notifications.

15. (1) A licensee shall ensure that notifications and reports required to be submitted under section 25 of the Act are submitted in the form and manner specified by the relevant regulatory authority.

(2) The chief executive officer of the licensee shall provide a notification or report in accordance with section 25 of the Act.

Ongoing obligations.

16. (1) Every licensee shall ensure that its virtual asset services are conducted in a fair, transparent and efficient manner for the purpose of reducing any systemic or any other type of risk that may adversely affect fair and orderly provision of virtual asset services.

(2) A licensee shall, in writing and at such times as the relevant regulatory authority may direct, submit to the relevant regulatory authority a report addressing matters affecting the virtual assets business.

(3) The report referred to in subregulation (2) may include—

- (a) ongoing compliance by the licensee with the terms of the licence;
- (b) complaints received and resolutions reached;
- (c) disciplinary matters arising and dealt with;
- (d) the adequacy and performance of systems and controls; and
- (e) the financial matters concerning the operation of the virtual asset business.

Human and
technology
resources.

17. (1) A licensee shall, to the satisfaction of the relevant regulatory authority, have sufficient human and technology resources to operate a virtual asset business.

(2) For purposes of sub regulation (1), a licensee shall satisfy the relevant regulatory authority with respect to—

- (a) employing fit and proper staff, appropriately trained for the duties to be performed and

trained to the standards required;

- (b) appointing a management team with adequate levels of experience and expertise to supervise and monitor the operations of the virtual asset business;
- (c) owning technology resources that are established and maintained in such a way as to ensure that they are secure and maintain the confidentiality of the data they contain; and
- (d) details of systems and associated technologies to be adopted by the applicant.

Virtual asset
business to establish
proper markets.

18. A virtual asset service provider shall, to the satisfaction of the relevant regulatory authority, establish and operate proper markets that are conducive to the economic good and that do not cause or promote instability by having—

- (a) a sufficiently liquid underlying cash market; and
- (b) capacity to make and take delivery of securities or underlying assets.

Business and default
rules.

19. (1) A licensee shall, to the satisfaction of the relevant regulatory authority, have clear and fair business rules which are—

- (a) legally enforceable by purchasers and customers; and
- (b) published and made freely available.

(2) A licensee shall have compliance procedures in place to ensure that—

- (a) the business rules in subregulation (1) are enforced;
- (b) the complaints regarding its virtual asset services and appeal procedures are in place;
- (c) where appropriate, a disciplinary action resulting in financial and other types of penalties is available; and
- (d) the procedure for detecting, preventing and reporting any form of market abuse is

available.

(3) The business rules under subregulation (1) shall be approved by the relevant regulatory authority.

(4) The business rules in subregulation (1) shall specify the class of virtual assets traded on or available for subscription, and requirements with respect to—

- (a) a licensee's financial reporting including how regular reports are made, the applicable international accounting standards or any other accounting standard accepted by the relevant regulatory authority to which they comply;
- (b) the auditing standards;
- (c) the licensee's track record in terms of profit or operating history; and
- (d) any restrictions that may exist on transferability for a virtual asset.

(5) A virtual asset service provider shall have default rules in place which in the event of a purchaser or client being or appearing to be unable to fulfil its obligations in respect of one or more contracts, enables action to be taken with respect to unsettled virtual assets transactions to which the purchaser or client is a party.

(6) A virtual asset exchange shall submit rules containing provisions relating to—

- (a) how to access the platform;
- (b) hours of operation, exchange availability and interruptions;
- (c) admission, suspension or delisting of virtual assets from trading on the exchange;
- (d) the conditions governing dealings in virtual assets and investor protection measures;
- (e) asset custody procedures;
- (f) prompt and real time disclosure to all investors of material information;
- (g) order submission procedures, order minimums and order types;

- (h) market data, pre and post trade transparency;
- (i) prevention of market abuse and other prohibited conduct;
- (j) investigation into trading in virtual assets transactions and for conducting inspections;
- (k) suspension of trading for the protection of investors or for the conduct of orderly and fair trading;
- (l) the conduct of virtual assets trading and the form in which information relating to transactions is to be maintained and reported to the virtual assets exchange;
- (m) dispute resolution mechanisms;
- (n) trading fees chargeable;
- (o) requirements on funding of accounts;
- (p) order matching and order matching priorities;
- (q) trade settlement and confirmation; and
- (r) deposit and withdrawal procedures.

Business continuity plan.

20. (1) A licensee shall have in place a formalized business continuity plan, as approved by its board of directors, and address its strategy for maintaining continuity of its operations, its plans for communicating and regularly testing the adequacy and effectiveness of this plan.

(2) The business continuity plan shall outline arrangements to reduce the impact of short, medium or long-term disruption, including—

- (a) resource requirements such as people, systems and other assets, and arrangements for obtaining these resources;
- (b) the recovery priorities for the licensee' operations; and
- (c) communication arrangements for internal and external concerned parties.

(3) A licensee shall review and test its business continuity plan at least every two years to ensure that it is

up-to-date.

(4) A licensee shall make available its business continuity plan or its report depicting the results of its business continuity testing to the relevant regulatory authority, upon request, and within such time as may be indicated.

(5) Where a person acts in contravention of this regulation, the relevant regulatory authority shall take such enforcement action as it deems necessary under the Act, and may impose an administrative penalty of three million shillings.

Transaction
recording
procedures

21. A licensee shall ensure that satisfactory arrangements are made for—

- (a) recording the activity and transactions effected on or through its distributed ledger technology platform;
- (b) maintaining the activity and transaction records for at least seven years; and
- (c) providing the relevant regulatory authority or any competent authority with such records in a timely manner as the relevant regulatory authority or competent authority may require.

Addressing
complaints by
customers

22. (1) A licensee shall, to the satisfaction of the relevant regulatory authority, have in place procedures to address complaints by purchasers, customers and users of its distributed ledger technology platform so as to ensure that due process is upheld on an ongoing basis.

(2) The procedures referred to in subregulation (1) shall include—

- (a) effective arrangements for the investigation and resolution of complaints made against the licensee's virtual asset services;
- (b) establishing and maintaining a register of complaints made against the licensee's virtual asset services and resolutions reached with the purchaser, customer or user.
- (c) establishing and maintaining a customer care system in accordance with regulation 23;

(d) setting out the process for dealing with complaints, including—

- (i) the apportionment of responsibility for the actions that led to the complaint including to persons not specifically named in the complaint;
- (ii) the timeframe for dealing with a complaint;
- (iii) the timeframe within which to inform the complainant of progress in dealing with the complaint, which shall not be more than three months;
- (iv) the available remedial actions in respect of any complaints by the client;
- (v) the procedure for an appeal where the complaint cannot otherwise be resolved.

(4) When addressing a complaint from a client, a licensee shall —

- (a) disclose to a client its procedures for handling of complaints.
- (b) address a complaint from a client in a fair, appropriate and timely manner;
- (c) inform the client of the outcome of their complaint;
- (d) where justifiable, provide appropriate restitution and address the weaknesses in its internal systems that led to the action causing the complaint.

(3) A licensee shall keep and maintain the records of the complaints and action taken under this regulation for a minimum of seven years.

Customer care system.

23. (1) Within six months after commencing the provision of virtual asset services, a licensee shall establish a customer care system within which its customers can make inquiries and complaints concerning its services.

(2) Prior to establishing a customer care system under

subregulation (1), the licensee shall—

- (a) put in place a clear mechanism to address consumer complaints;
- (b) provide adequate means for customers to file complaints;
- (c) address such complaints within a reasonable period from the time receipt of the complaint; and
- (d) provide, at all points of service, easily understood information about their complaint handling procedure.

Deterrence of
market abuse.

24. (1) A licensee shall have appropriate measures to identify, deter and prevent market abuse, financial crime and money laundering, terrorism financing or proliferation financing on and through its distributed ledger technology platform or systems and report to the relevant regulatory authority any market abuse.

(2) Pursuant to subregulation (1), a licensee shall have rules and procedures to prohibit or prevent any—

- (a) transaction intended to create a false appearance of a trading activity or transaction;
- (b) improper execution of virtual asset transfer or exchange, stablecoin issuance, token issuance, or initial coin offering;
- (c) transaction intended to assist or conceal any potentially identifiable market abuse or financial crime.

Promoting and
maintaining
standards.

25. (1) A licensee shall, from time to time, provide to the relevant regulatory authority details of how it will promote and maintain professional conduct as required under sections 20 and 21 of the Act.

(2) For purposes of subregulation (1), a licensee shall—

- (a) take all the necessary steps to promote and maintain high standards of integrity and fair dealing in the carrying on of a virtual asset business on or through its distributed ledger technology platform or trading systems; and

- (b) cooperate with the relevant regulatory authority with regard to regulatory matters as the relevant regulatory authority may determine.

Disclosure of information to the relevant regulatory authority.

26. A licensee shall have appropriate procedures and protection measures for allowing employees to disclose any information to the relevant regulatory authority, competent authorities or comparable bodies involved in the prevention of market abuse, financial crime, money laundering, terrorism financing or proliferation financing.

Disclosure of information to clients.

27. (1) A licensee shall make the following disclosures to its clients prior to engaging in any transaction or providing any service—

- (a) full details of the current licence status, including the specific categories of virtual asset services for which it is licenced by the relevant authority;
- (b) the full legal name, physical address of the principal office in Kenya and their contact information;
- (c) a clear and up-to-date disclosure of any actual conflicts of interest from the licensee's activities including a description of the mechanisms employed to identify, manage, or mitigate such conflicts;
- (d) a publicly accessible policy outlining the procedure for handling client complaints, including the maximum response time and the escalation path to the relevant regulatory authority;
- (e) an accurate description of the nature of virtual asset services offered, features, characteristics and limitations;
- (f) a comprehensive statement of the risks associated with virtual assets and the services provided, including the market volatility, technology and cybersecurity risks;
- (g) any applicable fees, commissions or other charges in the provision of their services and the timing of payment for the fees;
- (h) the procedures for withdrawals, suspension and

cancellation of transactions;

- (i) the security protocols employed for transaction execution, client authentication, and data protection;
- (j) the measures in place to ensure business continuity and recovery in the event of a system failure or cyber incident;
- (k) the procedures for lodging complaints, timelines for resolution, and available escalation mechanisms; and
- (l) any material change in business operations, ownership, management, terms of service or rates and charges.

(2) In furtherance to subregulation (1), a licensee shall not, in any written communication or agreement, exclude or restrict—

- (a) any duty or liability to a client which it has under any law or under any regulations made by the relevant regulatory Authority;
- (b) any liability owed to a client for failure to exercise the degree of skill, care and diligence that may reasonably be expected of it in the provision of the service of a regulated activity;
- (c) any other duty to act with skill, care and diligence that is owed to a client in connection with the provision to him of the service of a regulated activity.

(3) A licensee may not charge the customer for fulfilment of its disclosure and information obligations under these Regulations.

Client information.

28. (1) A licensee shall seek sufficient information about the client and the client's circumstances to ensure that the services provided are consistent with those circumstances

(2) Notwithstanding the generality of sub regulation (1), a licensee—

- (a) shall, when recommending investments to a client or where it has discretion to act on behalf of a client, take and document reasonable steps

to satisfy itself that the recommendation or discretionary action is suitable for the client, taking account of all the available alternatives;

- (b) shall not recommend, or where the licensee has discretion to act on behalf of a client, execute any sale or purchase that is unsuitable for the client;
- (c) shall not recommend, or where the licensee has discretion to act on behalf of a client, execute sales or purchases of a frequency that does not benefit the client regardless of the commission that the sales or purchases may produce.

(3) A licensee shall take all reasonable steps to ensure that it does not give advice or effect a transaction, on behalf of a client, unless the advice or transaction is suitable for the client considering the facts disclosed by the client and any other relevant facts about the client that the licensee is or ought to reasonably be aware of.

Register of interests.

29. (1) A licensee shall maintain a register of interests disclosing any holdings, directorships, or beneficial interests of directors, senior officers, or associated parties in any virtual asset issuer.

(2) The register shall be reviewed at least annually and made available to the relevant regulatory authority upon request.

Shareholding of
virtual asset
exchange.

30. A person shall not, in relation to a virtual asset exchange—

- (a) control or be beneficially entitled, directly or indirectly, to more than thirty-three and a third percent of the issued share capital or voting rights in a licensee;
- (b) appoint more than one-third of the members of the board of a licensee:

Provided that the provisions of this regulation shall not apply where the ownership structure of the licensee is diverse and no person holds or controls more than thirty three and a third percent of its shares, votes, directorship appointments, dividends or interest on shareholder loans.

Ownership changes.

31.(1) Pursuant to section 27 of the Act, where a

person desires to directly or indirectly acquire shares or an interest in a licensee or where a licensee wishes to voluntarily transfer or dispose of its shares, it shall make an application to the relevant regulatory authority upon payment of a fee set out in the First Schedule.

(2) An application made in terms of sub-regulation (1) shall include sufficient information to enable the relevant regulatory authority to consider the proposed acquisition, transfer or disposal in relation to—

- (a) the nature of the proposed acquisition, disposal or transfer;
- (b) the identity of the proposed acquirer or acquiree and any person who has control or management of the proposed acquirer;
- (c) how the proposed acquisition, transfer or disposal is to be financed.

(3) In assessing a proposed acquisition, transfer or disposal, the relevant regulatory authority shall have regard to—

- (a) the suitability and character of the proposed acquirer;
- (b) the ability of the proposed acquirer to conduct the business of the licensee in the long term;
- (c) the reputation, knowledge, skills and experience of any person who will direct the business of the licensee as a result of the proposed acquisition, transfer or disposal;
- (d) the fitness and probity of any new directors, significant shareholders and senior officers appointed as a result of the proposed acquisition, transfer or disposal;
- (e) the financial soundness of the proposed acquisition, transfer or disposal;
- (f) the source of funds of the acquirer;
- (g) whether the licensee will be able to comply and continue to comply with the provisions of the Act and these Regulations; and
- (h) whether there are reasonable grounds to

suspect that, in connection with the proposed acquisition, disposal or transfer, financial crime, money laundering, terrorism financing or proliferation financing is being or has been committed or attempted or could increase the risk thereof.

(4) The relevant regulatory authority may, where it grants or refuses to grant approval on the proposal to acquire, dispose or transfer shares or interest in a licensee, inform the licensee, in writing, and shall give reasons for the grant or refusal of the approval.

(5) For the purposes of this regulation, the relevant regulatory authority may consult the competent authorities responsible for mergers and acquisitions and anti-money laundering, counterterrorism and proliferation financing in granting or declining its approval.

Conflict of Interest

32. (1) A licensee shall—

- (a) identify and document the conflicts of interest that are likely to occur in the course of its regulated activity;
- (b) adopt and document appropriate policies to minimize those conflicts by identifying the instances where it would refuse to act and, where this is not necessary, making arrangements to minimize the risk of any loss to the client; and
- (c) avoid any conflict of interest between itself and a client and where such a conflict exists, decline to act, or if it considers that the conflict can be managed, disclose it to the client and follow the policies developed to minimize damage to the client and to put the client's interests ahead of its own.

(2) A licensee shall not take advantage of information it obtained from providing services to a client for its own benefit or the benefit of its employees or the benefit of another client, and where such an eventuality is likely to occur, the licensee shall—

- (a) adopt and document procedures, including the erection of information barriers, barriers between information technology systems, physical barriers or even separate office

locations, to minimize the possibility of information from one client being used for the benefit of another client, its employees or the licensee;

- (b) train employees in matters relating to the conflict of interest and the procedures developed to avoid them; and
- (c) obtain undertakings from employees that they will not use information gained from the clients for their personal benefit.

(3) Where a licensee has a material interest in a transaction to be entered into with or for a client, or a relationship which gives rise to a conflict of interest, the licensee shall not, knowingly, advise, or exercise discretion, in relation to that transaction unless it has—

- (a) disclosed the material interest or relationship that may give rise to a conflict, as the case may be, to the client; or
- (b) taken reasonable steps to ensure that neither the material interest nor relationship would adversely affect the interests of the client.

(4) A licensee shall take reasonable steps to ensure that neither it nor any of its employees or agents offers or gives, or solicits or accepts, any inducement that is likely to conflict with any of the duties owed to clients.

PART IV—REQUIREMENTS FOR OFFER OF INITIAL COIN OFFERINGS AND LISTINGS FOR VIRTUAL ASSET EXCHANGES

Application for
approval.

33. (1) Pursuant to section 34 of the Act, a person wishing to issue or promote an initial coin offering shall make an application to the relevant regulatory authority for approval.

(2) An application made under sub regulation (1) of these Regulations shall be accompanied by—

- (a) a white paper with the information provided for under regulation 37;
- (b) the policies and procedures for the monitoring the cycle of the issuing and offering of an initial coin offering;

- (c) the information where proceeds raised will be transferred or deposited;
- (d) location where the information as required by these Regulations will be retained and will be accessible in Kenya;
- (e) the details and confirmation of the promoter; and
- (f) the application fee specified in the First Schedule.

(2) The relevant regulatory authority may require an applicant to furnish such other information, document or report in connection with the application, as it may deem necessary, for the purpose of assessing the application.

(3) An applicant may withdraw an application by giving written notice, including the reasons thereof to the relevant regulatory authority, at any time before the determination of the application.

Determination of the application

34. (1) The relevant regulatory authority may object to an application where it is satisfied that —

- (a) the application does not comply with the Act or these Regulations;
- (b) the criteria set out in section 34(4) of the Act is not met;
- (c) a white paper does not meet the requirements in regulation 37;
- (d) the promoter is not an eligible person under section 34(2) of the Act;
- (e) the policies and procedures for monitoring the cycle of the issuing and offering of an initial coin are insufficient for mitigating possible market abuse, mis-selling or fraud risks.

(2) Upon approval of an application under regulation 33(1), the relevant regulatory authority shall register the applicant's details in accordance with regulation 41.

(3) An initial coin offering approved under this Part shall be conducted through trading platforms approved under regulation 35.

Approval of trading
platforms.

35. (1) A trading system or platform to be deployed by a virtual asset exchange shall be approved by the Authority prior to its use.

(2) The trading system or platform referred to under subregulation (1) shall—

- (a) enable real-time public access to trading information;
- (b) incorporate mechanisms for transparent and efficient price discovery;
- (c) maintain a complete and tamper-proof audit trail of all transactions;
- (d) implement adequate cybersecurity, resilience and access control measures; and
- (e) retain and securely store all trading and transaction records for a period of not less than seven years beginning from the date the transaction occurred.

Validity of approval
for offer of initial
coin offering.

36. An approval of an offer of an initial coin offering shall be valid for a period not exceeding twelve months.

Publication of White
paper.

37. (1) An applicant may publish its white paper where it has received notice from the relevant regulatory authority that it has no objection to the proposed issuance and promotion.

(2) The white paper referred to under sub regulation (1) shall provide full and accurate disclosure of information that will enable an investor to make an informed assessment before subscribing or investing and such information shall include —

- (a) brief description of the directors, senior management and advisers of the issuer including their name, designation, nationality, address, professional qualifications, related experience and any involvement or participation in a previous similar offering;
- (b) the objective or purpose of initial coin offering including information on the project to be managed and operated by the issuer;
- (c) the key characteristics of the initial coin

offering;

- (d) identification as to whether a virtual asset offering will have different classes of holders in relation to any benefits, rights or liabilities linked to the offering;
- (e) a detailed description of the sustainability of the project;
- (f) the business plan of the issuer;
- (g) the targeted amount to be raised through the project and subsequent use and application of the proceeds thereafter illustrated in a scheduled timeline for drawdown and utilization of proceeds;
- (h) any rights, conditions or functions attached to the offering, including any specific rights;
- (i) the details on the determination of the accounting and the valuation treatments for the offering, including all valuation methodology and reasonable presumptions adopted in such calculation;
- (j) the associated challenges and risks, as well as mitigating measures thereof;
- (k) the information in respect to the distribution of the initial coin offering and, where applicable, the distribution policy of the issuer of initial coin offering;
- (l) policies on monitoring the cycle of the initial coin offering;
- (m) information about the person, if any, underwriting or guaranteeing the project;
- (n) any restrictions on the transferability of the investment made;
- (o) methods of payment to invest or subscribe;
- (p) details of refund mechanism or withdrawal rights;
- (q) details of the authorized status of the promoter

or issuer in Kenya; and

- (r) intellectual property rights associated with the offerings and protection thereof.

(3) The board of directors of an issuer shall be responsible for the information provided in the white paper.

(4) A person who fails to comply with the requirements of this regulation is liable to an administrative penalty of three million shillings.

Commencement and
duration of
advertising.

38. (1) An applicant may only commence advertising of the issuance or promotion following the date on which it receives notice from the relevant regulatory authority that it has no objection to the proposed issuance and promotion.

(2) The applicant may only advertise the issuance or promotion for the duration specified in the application.

(3) A person who fails to comply with the requirements of this regulation is liable to an administrative penalty of three million shillings.

Extension of
issuance or
promotion.

39. (1) Where an applicant wishes to extend the promotion or issuance of an initial coin offering beyond the end date stated in its application, the applicant shall submit to the relevant regulatory authority an application for extension of issuance or promotions and reasons thereof of extension.

(2) A notice of an extension under subregulation (1) shall be submitted not later than three months before the expiry date of the end date stated in its application.

(3) The relevant regulatory authority may object to the extension where—

- (a) prejudice would be caused or would ensue to the financial services industry or any part thereof;
- (b) the continued promotion or issuance is against public policy; or
- (c) the continued promotion or issuance is unlikely to meet the financial objectives stated in the original application.

(4) An extension shall take effect where the relevant regulatory authority has no objection to the proposed

change within a period of thirty working days following receipt of notice under subregulation (1).

(5) An extension may only occur for a period of no more than six calendar months after approval under sub regulation (4).

(6) Any subsequent offer to the public of the virtual assets shall be deemed to constitute a separate offer to the public to which the requirements of this Part shall apply.

(7) An additional virtual assets white paper shall be required for any subsequent offer to the public of the virtual assets.

Change of promoter.

40. (1) Where an applicant wishes to change the promoter named in its application, it shall submit a written notice to the relevant regulatory authority and provide reasons for the change.

(2) A notice provided under sub regulation (1) shall be submitted to the relevant regulatory authority not less than 15 working days before the applicant proposes to effect the change.

(3) The relevant regulatory authority may object to the change where—

- (a) the promoter is not an eligible person under section 34(2) of the Act;
- (b) prejudice would be caused or would ensue to the financial services industry or any part thereof.

(4) A change of a promoter shall be effected where the relevant regulatory authority has no objection to the proposed change within a period of 15 working days following receipt of notice under sub regulation (1).

(5) A person who fails to comply with the requirements of this regulation is liable to an administrative penalty of three million shillings.

Register.

41. The relevant regulatory authority shall maintain a register with the following information —

- (a) the name and address of the issuer or promoter of initial coin offerings;
- (b) the date upon which the promotion or issuance

is to start and to end;

- (c) any measures imposed by the relevant regulatory authority under the Act;
- (d) any other relevant information that the relevant regulatory authority deems necessary.

Listing requirements
for virtual asset
exchanges.

42. (1) A virtual asset exchange shall maintain an official list in respect of all virtual assets listed on the exchange.

(2) The virtual asset exchange shall enter in the official list the particulars of all virtual assets that have been approved for listing.

(3) A virtual asset exchange shall only include a virtual asset in the official list where the virtual asset has attained the minimum total subscription disclosed in the white paper approved by the relevant regulatory authority in respect of the initial virtual asset offering and listing of the virtual asset.

(4) The official list shall, where applicable, include the following particulars in respect of each listed virtual asset—

- (a) the name of the virtual asset;
- (b) the name of the issuer, where applicable;
- (c) the total number of virtual assets listed;
- (d) the listing date;
- (e) the trading commencement date; and
- (f) the redemption date.

PART V— PROVISION OF SERVICES RELATING TO CUSTODIAL WALLET, PAYMENT AND ISSUERS OF STABLE COIN

Custodial wallet providers

Virtual asset
accounts

43. (1) A licensee providing custodial wallet services shall—

- (a) segregate holdings of virtual assets on behalf of their clients from their own holdings or property, and from any other non-client virtual

assets;

- (b) ensure that on the relevant distributed ledger, their clients' virtual assets are held on separate addresses from those on which their own virtual assets or any other non-client virtual assets are held;
- (c) with respect to any internal ledger accounts, maintain separate accounts for their clients' virtual assets and their own virtual assets or any other non-client virtual assets;
- (d) obtain explicit client consent prior to holding virtual assets on behalf of such clients in one or more omnibus accounts, or under any other arrangement where client assets are not held in separate accounts for each individual client under that client's name;
- (e) maintain appropriate procedures to ensure that the virtual assets held in custody shall at all times be separate and insulated from the virtual asset service business' estate;
- (f) not lend, use, hypothecate, pledge or otherwise use or encumber client assets that have been entrusted to it for safekeeping;
- (g) make its standard disclosures and standard customer agreement readily accessible to clients on such virtual asset service business' website and such disclosures shall be made in clear, concise and non-technical language;
- (h) maintain in its custody, a sufficient amount of each type of virtual asset to meet its obligations to clients;
- (i) ensure that necessary procedures are in place to return virtual assets held on behalf of their clients or the means of access on demand to those clients;
- (j) establish, maintain, enforce, and regularly test reasonably designed written policies, procedures, and arrangements in order to—
 - (i) identify, in advance, the steps it intends to take in the wake of events that could

- affect the virtual asset business' custody of the virtual assets;
 - (ii) enable the virtual asset business to comply with orders of the competent court to seize or freeze virtual assets;
 - (iii) enable the transfer of virtual assets held by the virtual asset business to another appropriate person;
 - (iv) remedy mistaken, fraudulent or otherwise unauthorised transactions;
 - (v) ensure the continued safekeeping and accessibility of virtual assets in the event of unexpected disruptions to the virtual asset business' control over its clients' virtual assets, the rights related to those virtual assets or the means of access to the virtual assets;
- (k) maintain an up-to-date register of positions which records each client's rights to the virtual assets in the control of the virtual asset business;
- (l) provide their clients, at least once every three months and at each request of the client concerned, with a statement of holdings of the virtual assets recorded in the name of those clients;
- (m) if it outsources the custody of virtual assets—
- (i) only make use of other virtual asset businesses which are licensed under the Act;
 - (ii) notify the relevant regulatory authority of the use of other entities for the custody of virtual assets as a material change under section 26 (f) of the Act; and
 - (iii) disclose to their customers the terms and conditions associated with such outsourcing arrangement.
- (2) The agreement referred to in subregulation (1)(m),

shall include —

- (a) the general terms and conditions regarding custody of the client's virtual assets;
- (b) how the virtual asset business segregates and accounts for the client's virtual assets under subregulation (1)(a) to (g);
- (c) the beneficial and equitable interests the client retains in their virtual assets;
- (d) the limitations on the use of custodied virtual assets by the virtual asset business.

(3) For the purposes of subregulation (1)(l), the statement of position shall state at the minimum the virtual assets concerned, their balance, their value and the transfer of virtual assets made during the period concerned.

(4) Where a licensee providing custodial wallet services holds virtual assets—

- (a) in one or more omnibus accounts; or
- (b) under any other arrangement where client assets are not held in separate accounts for each individual client under that client's name,

it shall maintain appropriate procedures and up-to-date records in order to identify, at all times, the virtual assets belonging to each client and to account for all client transactions.;

Payment services

Customer details.

44. A licensee offering payment processing services shall, at all times, maintain a register containing identification details of all customers and the funds outstanding in their custody wallet of which the details shall include the identify card number or the passport number.

Changes to virtual asset payment system.

45. (1) A licensee who intends to introduce a substantial change or enhancement in the virtual asset payment shall notify the relevant regulatory authority, thirty days prior to the commencement of the proposed change or implementation.

(2) For the purposes of sub regulation (1), a “substantial change or enhancement” means an expanded

scope or change of the payment system that affects the nature of the virtual asset payment and may include—

- (a) additional functionality of the virtual asset payment service such as accessing new electronic channels;
- (b) changing the virtual asset payment processors and other major partners in the business;
- (c) any changes to the documentation provided during the application process.

Appointment of
Agent

46. (1) A licensee may appoint an agent to undertake certain payment services on its behalf.

(2) A licensee may enter into an agreement for the provision of certain payment services with the agent appointed under sub regulation (1).

(3) A licensee is liable to its customers for the conduct of its agents, performed within the scope of the agency agreement.

(4) An agency agreement entered into under sub regulation (2) shall not exclude a licensee from liability.

(5) A licensee may appoint an agent or enter into an agreement with a merchant to perform virtual asset payment services:

Provided that the licensee can execute electronic retail transfers that supports the virtual asset payment processing services in real time.

(6) A contract for the provision of retail virtual asset payment processing services entered into between a licensee and an agent or a merchant shall not be exclusive.

(7) An agent or merchant may provide services to multiple payment service providers or institutions:

Provided that the agent or the merchant—

- (a) has a separate contract with each institution for the provision of such services; and
- (b) has the capacity to manage the transactions for the different institutions.

(8) A licensee who intends to enlist a new agent or

merchant, shall at least fourteen days prior to commencement of such agency, notify the relevant regulatory authority on the following—

- (a) the procedure for recruiting agents or merchants;
- (b) a copy of the proposed agreement with the agent or merchant, which shall provide, amongst others, that the agent or merchant is under an obligation, when requested to do so by the relevant regulatory authority, to provide information and access to their premises, systems and records;
- (c) the policies and procedures approved by the licensee for the provision of virtual asset payment processing services through agents or merchants;
- (d) description of the technology to be used by the agent or merchant to deliver virtual asset payment processing services;
- (e) a risk assessment report of the provision of virtual asset payment processing services through agents or merchants including the control measures applied to mitigate the risks;
- (f) the proposed security measures to be adopted for the premises of agents or merchants; and
- (g) the agent or merchant manual and any materials used for training agents or merchants.

(9) A licensee may appoint, through an agreement, a person as an agent or a merchant, if that person—

- (a) possesses such registration, business license, or permit as may be required for the performance of its commercial activities;
- (b) can lawfully provide the proposed services;
- (c) holds a payment account with a bank, financial institution or payment service provider.

(10) Where, for the purposes of subregulation (9)(c), the proposed agent or merchant is not an institution, that agent or merchant shall provide—

- (a) proof that he is financially sound and has provided the licensee with adequate documents; and
- (b) evidence to the licensee indicating that its management has the necessary experience and competence to perform the agency or virtual asset payment processing services.

(11) A licensee shall, in identifying, selecting and contracting agents and or merchants—

- (a) exercise due diligence; and
- (b) carry out suitability assessment of the agents or merchants.

Interoperability.

47. (1) A licensee shall use systems capable of becoming interoperable with other virtual asset payment systems in the country and internationally.

(2) A licensee and their agents shall use systems that are interoperable with other systems at the virtual asset payment processor level, including at the agency level.

(3) With the prior approval of the relevant regulatory authority, a licensee may enter into interoperability arrangements with other virtual asset payment service providers.

(4) The relevant regulatory authority may, by notice to the licensee, require that licensee to enter into interoperability arrangements with other virtual asset payment service providers.

(6) A licensee that enables the interoperability of its systems with those of another virtual asset payment service provider without the approval of the relevant regulatory authority shall be liable to an administrative penalty of three million shillings.

Risk Management.

48. For the purposes of risk management, a licensee shall comply with—

- (a) any technical standards that may be issued by the relevant regulatory authority from time to time; and
- (b) any other international standards and risk management guidelines which may be required by the relevant regulatory authority from time

to time.

Execution of
payments.

49. (1) A licensee involved in an electronic retail transfer shall—

- (a) transfer the full amount of the payment transaction;
- (b) not deduct charges from the amount transferred, other than charges—
 - (i) expressly agreed to by the customer in advance;
 - (ii) which the customer has received notice of in terms of any material changes.

(2) A licensee shall not be liable to the payer where—

- (a) the electronic retail transfer requires transmission to a second virtual asset payment processor (the payee's payment service provider; and
- (b) the virtual asset payment processor of the payer can prove correct or proper transmission of the electronic retail transfer to the second payment service provider.

(3) A licensee shall, where it is liable under this regulation for non-execution or defective execution of an electronic retail transfer, without undue delay, restore the debited payment account to the state in which it would have been had the defective transaction not taken place, including a refund of the charges imposed.

(4) A licensee shall be liable for payment transactions performed without the knowledge of the customer:

Provided that such liability may be contractually excluded in circumstances where the licensee—

- (a) proves an element of fault on the side of the customer in the use of the service; or
- (b) demonstrates at first glance that the payment instruction was carried out by the legitimate customer.

Record keeping and
submission of

50. (1) A licensee shall use systems which are able to

reports

provide an accurate, immutable and fully accessible audit trail of all transactions from the origin of the electronic transfer payments to its finality.

(2) A licensee shall, within ten days of the end of every calendar month, submit to the relevant regulatory authority, in the form specified the relevant regulatory authority, information regarding—

- (a) the volumes, values and geographic distribution of each electronic retail transfer payment instrument offered by it;
- (b) incidents of fraud, theft or robbery;
- (c) material service interruptions and major security breaches;
- (d) complaints reported, including remedial measures taken, those resolved and those outstanding.

(3) A licensee engaged in virtual asset exchange, stablecoin issuance, virtual asset wallet services or virtual asset payment services shall use systems which are able to provide an accurate, immutable and fully accessible audit trail of all transactions from the origin of the virtual asset transfer or payment to its finality.

(4) A licensee carrying on virtual asset exchange services, stablecoin issuance, virtual asset wallet services or virtual asset payment processing service shall submit daily reports to the relevant regulatory authority in the manner specified by the relevant regulatory authority, information regarding—

- (a) the volumes, values and geographic distribution of each virtual asset transfer or payment offered by it;
- (b) incidents of fraud, theft or robbery;
- (c) material service interruptions and major security breaches;
- (d) complaints reported, including remedial measures taken, those resolved and those outstanding

Provision of
information.

51. The relevant regulatory authority may—

- (a) require an officer of the licensee to produce or furnish to the relevant regulatory authority or officer making an examination, within a reasonable time—
 - (i) such books of accounts and any other documents in the custody or power of the licensee;
 - (ii) statements or information relating to the affairs of licensee as may be required by the examining officer;
- (b) by notice, require a licensee to provide information to the relevant regulatory authority, in such manner and form as the relevant regulatory authority may specify for the purposes of assessing compliance with these Regulations;
- (c) at any time, enter any premises where a licensee is carrying on business, or any premises where the relevant regulatory authority reasonably suspects that any business is carried out in contravention of these Regulations.

Obligations of the
virtual asset
payment processor
acting for the payer.

52. A licensee acting for the payer shall, without undue delay after a virtual asset transfer or hybrid transfer is authenticated and broadcast to the distributed ledger technology or otherwise executed, provide the payer with—

- (a) a transaction reference or hash enabling the payer to identify the virtual asset payment;
- (b) the receiving VASP or the payee's virtual asset wallet address and other payment credentials, if any;
- (c) the amount of the virtual asset transferred, and where applicable, the equivalent value in *fiat* currency at the time of execution;
- (d) the network fees charged, if any; and
- (e) the date and time at which the virtual asset transfer was authorised and transmitted.

Obligations of the
virtual asset

53. (1) A licensee acting for the payee shall, without undue delay after a virtual asset transfer is confirmed on-

payment processor
acting for the payee.

chain or otherwise credited to the payee, provide the payee with—

- (a) the reference, transaction hash, or internal identifier enabling the payee to identify the virtual asset transfer;
- (b) the name of the payer and any payer information required to accompany the transfer pursuant to the Travel Rule or domestic AML/CFT/CPF obligations;
- (c) the amount of the virtual asset credited, and where applicable, its *fiat* currency equivalent at the time of credit;
- (d) the date and time at which the virtual asset transfer was confirmed or made available to the payee; and
- (e) any fees or deductions applied by the receiving licensee or the network

Disclosures to be
accessible

54.(1) The disclosures under regulations 53 and 54 shall be made in a durable format accessible to the user, including but not limited to email, SMS, mobile application, or on chain confirmation.

(2) Failure to comply with this regulation shall constitute a breach of licensing conditions and may result in administrative penalty of three million shillings, suspension, or revocation of the license.

(3) All electronic retail transactions shall be executed in real time:

Provided that where an electronic retail transaction cannot be completed in real time, the licensee shall notify—

- (a) the payer of the delay of the execution; and
- (b) the customer of the period within which the transaction shall be completed.

(4) A licensee may not charge the customer for fulfilment of its disclosure and information obligations under these Regulations.

(5) A licensee shall issue a statement to a customer

upon request.

Stable coin issuers

Requirements
relating to issuers of
stablecoins.

55. In addition to the requirements under regulation 5, an application for licensing of a virtual asset offering of a stablecoin shall be accompanied by —

- (a) the investment policies of the reserve assets and an assessment of how such investment policy can affect the value of reserve assets;
- (b) the issuer's redemption policies;
- (c) a white paper containing the information specified under regulation 57;

(2) In addition to the provision of regulation 5, an application for licensing as an asset-referenced stablecoin shall be accompanied by a legal opinion that the asset-referenced stablecoin does not qualify as a fiat-backed stablecoin.

Contents of a stable
coin white paper.

56. (1) A virtual asset white paper for stablecoins shall contain all of the following information—

- (a) information about the issuer of the stablecoin;
- (b) information about the stablecoin;
- (c) information about the offer to the public of the stablecoin or its admission to trading;
- (d) information on the rights and obligations attached to the stablecoin;
- (e) information on the underlying technology;
- (f) information on the risks of the stablecoin;
- (g) information on the principal adverse impacts on the climate and other environment-related adverse impacts of the consensus mechanism used to issue the stablecoin;
- (h) the method and all factors used to calculate the value of reserve assets;
- (i) the initial value and composition of the reserve assets;
- (j) the conditions and the procedure to purchase

stablecoins and redeem such stablecoins against reserve assets;

- (k) details of the stabilisation mechanism;
- (l) a summary of the investment policies referred to in sub-regulation (1)(a) and an explanation of how such investment policy can affect the value of reserve assets;
- (m) details of the arrangements for custody and management of the reserve assets;
- (n) the rights provided to holders of the stablecoin;
- (o) the date of its approval.

(2) The virtual asset white paper for asset-referenced stablecoins shall contain a clear and unambiguous statement that—

- (a) the asset-referenced stablecoin may lose its value in part or in full;
- (b) the asset-referenced stablecoin may not always be transferable;
- (c) the asset-referenced stablecoin may not be liquid.

(3) The virtual asset white paper shall also include the identity of the person other than the issuer that offers the stablecoin to the public or seeks its admission to trading, and the reason why that particular person offers that stablecoin or seeks its admission to trading.

(4) All the information listed in sub-regulation (1) shall be fair, clear and not misleading.

(5) The virtual asset white paper shall not contain material omissions and shall be presented in a concise and comprehensible form.

(6) The virtual asset white paper shall contain a clear warning that—

- (a) the stablecoin is not covered by investor compensation schemes;
- (b) the stablecoin is not covered by deposit insurance;

- (c) the issuer of the stablecoin is solely responsible for the contents of the virtual asset white paper.

(7) The virtual asset white paper shall contain a summary, which shall in brief and non-technical language provide—

- (a) key information about the offer to the public of the stablecoin or the intended admission to trading of such stablecoin;
- (b) appropriate information about the characteristics of the virtual assets concerned in order to help prospective holders of the virtual assets to make an informed decision;
- (c) a warning that—
 - (i) it should be read as an introduction to the virtual asset white paper;
 - (ii) the prospective holder should base any decision to purchase the stablecoin on the content of the virtual asset white paper as a whole and not on the summary alone;
- (d) state that holders of the stablecoin have a right of redemption at any time and at par value as well as the conditions for redemption.

(8) Issuers of stablecoins shall notify the relevant regulatory authority of the virtual asset white paper at least 30 days before the date of their publication.

(9) Any significant new factor, any material mistake or any material inaccuracy that is capable of affecting the assessment of the stablecoin shall be described in a modified virtual asset white paper drawn up by the issuers, notified to the relevant regulatory authority and published on the issuers' websites upon approval by the relevant regulatory authority.

Publication of the
virtual asset white
paper.

57. (1) A stablecoin issuer shall publish on its website the approved virtual asset white paper and, where applicable, the modified virtual asset white paper.

(2) The issuer of a stablecoin shall—

- (a) for the purposes of the issuer's duty to publish the white paper from the starting date of the

offer to the public of the stablecoin or the admission to trading of that stablecoin;

- (b) ensure that the approved white paper and modified white paper remain accessible for the duration that the relevant stablecoin is held by the public;
- (c) publish as soon as possible on its website—
 - (i) any changes to the information referred to in the white paper;
 - (ii) any event that has or is likely to have a significant impact on the value of the stablecoin or on the reserve assets.

Requirements for the offer to the public or admission to trading of stablecoin

58. A person shall not make an offer to the public or seek the admission to trading of a stablecoin, unless that person is the issuer of such stablecoin and has notified a virtual asset white paper to the relevant regulatory authority and has published that virtual asset white paper in accordance with regulation 57.

(2) Notwithstanding subregulation (1), upon the written consent of the issuer, other persons may offer to the public or seek the admission to trading of the stablecoin.

(3) Issuers of stablecoins shall, at least 90 days before the date on which they intend to offer to the public those stablecoins or seek their admission to trading, notify the relevant regulatory authority of that intention.

Issuance and redeemability of stablecoins

59. (1) Holders of stablecoins shall have a claim against the issuers of those stablecoins.

(2) Issuers of stablecoins shall issue stablecoins at par value and on the receipt of funds.

(3) Upon request by a holder of a stablecoin, the issuer of that stablecoin shall redeem it, at any time and at par value, by paying the monetary value of the stablecoin held to the holder of the stablecoin.

(4) Issuers of stablecoins shall prominently state the conditions for redemption in the virtual asset white paper.

(5) The redemption of stablecoins shall not be subject to a fee.

Prohibition of

60. (1) Issuers of stablecoins shall not grant interest in

granting interest.

relation to stablecoins.

(2) A licensee shall not grant interest when providing virtual asset services related to stablecoins.

(3) Any remuneration or any other benefit related to the length of time during which a holder of a stablecoin holds such stablecoin shall be treated as interest and that includes net compensation or discounts, with an effect equivalent to that of interest received by the holder of the stablecoin, directly from the issuer or from third parties, and directly associated to the stablecoin or from the remuneration or pricing of other products.

Modification of
published virtual
asset white papers

61. (1) Issuers of stablecoins shall notify the relevant regulatory authority of any intended change of their business model likely to have a significant influence on the purchase decision of any holders or prospective holders of stablecoins, which occurs after licensing or after the approval of the virtual asset white paper.

(2) The changes envisaged under subregulation (1) include any material modifications to—

- (a) the governance arrangements, including reporting lines to the management body and risk management framework;
- (b) the reserve assets and the custody of the reserve assets;
- (c) the rights granted to the holders stablecoins;
- (d) the mechanism through which a stablecoin is issued and redeemed;
- (e) the protocols for validating the transactions in stablecoins;
- (f) the functioning of issuers' proprietary distributed ledger technology, where the stablecoins are issued, transferred and stored using such a distributed ledger technology;
- (g) the mechanisms to ensure the liquidity of stablecoins;
- (h) the arrangements with third-party entities, including for managing the reserve assets and the investment of the reserve, the custody of reserve assets, and, where applicable, the

distribution of the stablecoins to the public;

(i) the complaints-handling procedures.

(2) Issuers of stablecoins shall notify the relevant regulatory authority at least 30 working days before the intended changes take effect.

(3) Where any intended change as referred to in subregulation (1) has been notified to the relevant regulatory authority, the issuer of a stablecoins shall draw up a draft modified virtual asset white paper and shall ensure that the order of the information appearing therein is consistent with that of the original virtual asset white paper.

(4) The issuer of the stablecoin shall notify the draft modified virtual asset white paper to the relevant regulatory authority.

(5) Where the relevant regulatory authority approves the modified virtual asset white paper, it may require the issuer of the stablecoin—

(a) to put in place mechanisms to ensure the protection of holders of the stablecoins, when a potential modification of the issuer's operations can have a material effect on the value, stability, or risks of the stablecoin or the reserve assets;

(b) to take any appropriate corrective measures to address concerns related to market integrity, financial stability or the smooth operation of payment systems.

Liability of issuers of stablecoins for the information given in a virtual-asset white paper

62. (1) Where an issuer of a stablecoin has provided in its virtual asset white paper or in a modified virtual asset white paper, information that is not complete, fair or clear, or that is misleading, that issuer and its directors, significant shareholders, senior management, and external auditors shall be liable to a holder of such stablecoin for any loss incurred due to that infringement.

(2) Any contractual exclusion or limitation of civil liability as referred to in sub-regulation (1) shall be deprived of legal effect.

(3) It shall be the responsibility of the holder of the stablecoin to present evidence indicating that the issuer of that stablecoin has infringed these Regulations by providing

in its virtual asset white paper or in a modified virtual asset white paper information that is not complete, fair or clear, or that is misleading and that reliance on such information had an impact on the holder's decision to purchase, sell or exchange that stablecoin.

(4) The issuer and its senior officers, directors, significant shareholders shall not be liable for loss suffered as a result of reliance on the information provided in a summary, except where the summary—

- (a) is misleading, inaccurate or inconsistent when read with the other parts of the virtual asset white paper; or
- (b) does not provide, when read with the other parts of the virtual asset white paper, key information in order to aid prospective holders when considering whether to purchase such stablecoins.

Stablecoin reserve
assets.

63. (1) The issuer of a stablecoin shall—

- (a) fully back such stablecoins with reserve assets, such that the value of the reserve assets shall at all times be at least equal to the nominal value of all outstanding units of the stablecoin;
- (b) only issue stablecoins whose reserve assets consist of one or a combination of—
 - (i) *fiat* currencies;
 - (ii) legal tender;
 - (iii) commodities;
 - (iv) virtual assets;
 - (v) any other form of reserve asset not prohibited by the relevant regulatory authority.
- (c) ensure that reserve assets are held in custody and managed—
 - (i) where reserve assets take the form of virtual assets, by a virtual asset business licensed under the Act, or by itself;

- (ii) where reserve assets take any other form, by a custodian approved to custody and manage such reserve assets;
- (d) ensure that reserve assets of each stablecoin are segregated from the operating assets of the issuer and the reserve assets of any other stablecoins;
- (e) make reserve assets available for examination and for verification of the issuer's disclosures upon request of relevant regulatory authority or as otherwise specified by relevant regulatory authority;
- (f) ensure that the reserve assets are sufficiently liquid to enable the issuer to fund redemption requests;
- (g) for the purposes of complying with its obligations under this sub-regulation, employ methods of calculating the valuation of reserve assets which are in accordance with generally accepted international standards on auditing or such standards as the relevant regulatory authority may recognise;
- (h) maintain appropriate procedures to ensure that the reserve assets shall at all times be separate and insulated from issuer's estate such that creditors of the issuer have no recourse on the reserve assets held in custody, in particular in the event of insolvency;
- (i) ensure that the reserve of assets is composed and managed in such a way that—
 - (i) the risks associated to the assets referenced by the stablecoins are covered;
 - (ii) the liquidity risks associated to the permanent rights of redemption of the holders are addressed;
- (j) ensure that the reserve of assets is legally segregated from the issuers' estate, as well as from the reserve of assets of other stablecoins, in the interests of the holders of stablecoins, so

that creditors of the issuers have no recourse to the reserve of assets, in particular in the event of insolvency.

(2) Stablecoin issuers that offer two or more stablecoins to the public shall operate and maintain segregated pools of reserves of assets for each stablecoin and each of those pools of reserves of assets shall be managed separately.

(3) Stablecoin issuers shall ensure that the issuance and redemption of stablecoins is always matched by a corresponding increase or decrease in the reserve of assets.

Custody of reserve assets

64. (1) Notwithstanding the provisions of regulation 74, stablecoin issuers shall establish, maintain and implement custody policies, procedures and contractual arrangements that ensure at all times that—

- (a) the reserve assets are not encumbered nor pledged as a financial collateral arrangement;
- (b) the reserve assets are held in custody in accordance with these Regulations;
- (c) they have prompt access to the reserve assets to meet any requests for redemption from the holders of stablecoins;
- (d) concentrations of the custodians of reserve assets are avoided;
- (e) risk of concentration of reserve assets is avoided.

(2) The reserve assets shall be held in custody no later than five working days after the date of issuance of the stablecoin by a legal person different from the issuer.

(3) Issuers of asset-referenced stablecoin shall ensure that the reserve assets held in custody are protected against claims of the custodians' creditors.

Investment of funds received in exchange for stablecoin

65. (1) Stablecoin issuers shall ensure that funds received by in exchange for stablecoins shall comply with the following—

- (a) at least 30 percent of the funds received is held in accounts in commercial banks in Kenya segregated for processing funds related to the

issuance and redemption of stablecoin;

- (b) the remaining funds received are invested in secure, low-risk assets in Kenya that qualify as high-quality liquid assets with minimal market risk, credit risk and concentration risk; and
- (c) for *fiat*-backed stablecoin, the reserve assets should be denominated in the same official currency as the one referenced by the *fiat*-backed stablecoin.

(2) The financial instruments in which the reserve of assets is invested shall be held in custody.

(3) All profits or losses, including fluctuations in the value of the financial instruments referred to in sub-regulations (1), and any counterparty or operational risks that result from the investment of the reserve of assets shall be borne by the stablecoin issuer.

Ongoing
information to
holders of
stablecoins

66. (1) Stablecoin issuers shall in a clear, accurate and transparent manner disclose, in a publicly and easily accessible place on their website, the amount of stablecoins in circulation, and the value and composition of the reserve of assets and such information shall be updated at least monthly.

(2) Stablecoin issuers shall publish as soon as possible in a publicly and easily accessible place on their website a brief, clear, accurate and transparent summary of the audit report, as well as the full and unredacted audit report, in relation to the reserve of assets.

(3) Stablecoin issuers shall as soon as possible and in a clear, accurate and transparent manner disclose, in a publicly and easily accessible place, on their website any event that has or is likely to have a significant effect on the value of the stablecoins or on the reserve of assets.

Identification,
prevention,
management and
disclosure of
conflicts of interest.

67. (1) Stablecoin issuers shall implement and maintain effective policies and procedures to identify, prevent, manage and disclose conflicts of interest between themselves and—

- (a) their shareholders or members;
- (b) any shareholder or member, whether direct or indirect, that has a qualifying holding in the issuers;

- (c) the members of their management body;
- (d) their employees;
- (e) the holders of asset-referenced stablecoin;
- (f) any third-party providing services to the stablecoin issuer.

(2) Stablecoin issuers shall take all appropriate steps to identify, prevent, manage and disclose conflicts of interest arising from the management and investment of the reserve of assets referred.

(3) Stablecoin issuers shall, in a prominent place on their website, disclose to the holders of their stablecoins the general nature and sources of conflicts of interest referred to in sub-regulation (1) and the steps taken to mitigate them.

(4) The disclosure referred to in sub-regulation (3) shall be sufficiently precise to enable the prospective holders of their asset-referenced stablecoin to make an informed purchasing decision about the stablecoin.

Redemption of
stablecoins

68. (1) Redemption of stablecoins shall be subject to the stablecoin issuer's terms and conditions as approved by relevant regulatory authority.

(2) Stablecoin issuers shall establish a policy on clients' right of redemption setting out—

- (a) the conditions, including thresholds, periods and timeframes, for holders of stablecoins to exercise such right of redemption;
- (b) the mechanisms and procedures to ensure the redemption of the stablecoins;
- (c) the valuation, or the principles of valuation, of the stablecoin and of the reserve assets when the right of redemption is exercised by the holder of stablecoins;
- (d) the conditions for settlement of the redemption;
- (e) measures that the stablecoin issuer takes to adequately manage increases or decreases in the reserve of assets in order to avoid any adverse impacts on the market of the reserve

assets.

(3) Where a stablecoin issuer, when selling a stablecoin, accepts payment in the Kenya Shilling, they shall always provide an option to redeem the stablecoin in the Kenya Shilling.

(4) The redemption policies referred to in sub-regulation (2) shall —

- (a) be clear and conspicuous;
- (b) confer on any holder of a stablecoin, a right to redeem units of the stablecoin from the issuer in a timely fashion at a 1:1 exchange rate for the underlying unit of fiat currency, legal tender, commodity, or virtual asset (net of ordinary, well-disclosed fees);
- (c) clearly disclose the meaning, timing and conditions of redemption.

(5) Upon request by a holder of a stablecoin, a stablecoin issuer shall redeem by paying an amount in fiat, equivalent to the market value of the stablecoin.

(6) The redemption of stablecoins shall not be subject to a fee.

(7) The business continuity plan of a stablecoin issuer shall include measures by the stablecoin issuer to restore compliance with the requirements applicable to the reserve of assets in cases where the issuer fails to comply with those requirements.

Marketing
Communications of
stablecoin issuance.

69. (1) Marketing communications relating to an offer to the public of a stablecoin, or to the admission to trading of such stablecoin, shall comply with all the following requirements—

- (a) the marketing communications are clearly identifiable as such;
- (b) the information in the marketing communications is fair, clear and not misleading;
- (c) the information in the marketing communications is consistent with the information in the virtual asset white paper;

- (d) the marketing communications clearly state that a virtual asset white paper has been published and clearly indicate the address of the website of the issuer of the stablecoin, a telephone number, and an email address to contact the issuer.

(2) Marketing communications shall contain a clear and unambiguous statement that the holders of the stablecoin have a right of redemption against the issuer at any time and at par value.

(3) Marketing communications and any modifications thereto shall be published on the issuer's website.

(4) Marketing communications shall be notified to the relevant regulatory authority upon request.

(5) No marketing communications shall be disseminated prior to the publication of the virtual asset white paper but such restriction does not affect the ability of the issuer of the stablecoin to conduct market soundings.

Audits, review and reports

70. (1) The issuer of a stablecoin shall appoint an approved auditor to—

- (a) conduct an annual review of its systems, process and procedures and other internal controls with respect to its compliance with the requirements of these Regulations;
- (b) on a quarterly basis, conduct an examination of the issuer's reserve assets with respect to its compliance with these Regulations and provide a proof of reserve report by an independent approved auditor to the relevant regulatory authority within six weeks of each quarter end;
- (c) conduct, on an annual basis, a review of the issuer's—
 - (i) redemption policies to determine whether the policies meet the requirements of these Regulations; and
 - (ii) compliance with its redemption policies.

Delisting or halting of stablecoin issuance.

71. (1) The relevant regulatory authority may, prohibit or otherwise limit the issuance or use of a stablecoin before or after an issuer which has been

approved in accordance with regulation 5, and may require that any such issuer delist, halt, or otherwise limit or curtail activity with respect to such stablecoin.

Stablecoin issuers
reporting
requirements.

72. (1) Issuers of stablecoins shall report on a quarterly basis to the relevant regulatory authority the following information—

- (a) the number of holders;
- (b) the value of the stablecoins issued and the size of the reserve of assets;
- (c) the average number and average aggregate value of transactions per day during the relevant quarter.

(2) In addition to the reports under subregulation (1), a licensee shall, on daily basis, report average number and average aggregate value of transactions per day.

PART VI— CAPITAL AND FINANCIAL REQUIREMENTS

Minimum financial
and capital
requirements.

73. (1) A licensee shall, at all times, have capital and other financial requirements of such nature and amount that is commensurate to the scale, risk and the complexity of the licensee based on its authorised activities.

(2) In determining whether a licensee has adequate capital and other financial requirements under subregulation (1), the relevant regulatory authority shall establish the ability of the licensee to have—

- (a) and maintain the paid-up capital (paid up share capital and reserves), shareholders' funds and liquid capital at the amount specified in the Fifth Schedule;
- (b) and maintain the reserve assets and money as specified in regulation 74;
- (c) a proper accounting record framework established, documented and maintained;
- (d) adequate financial reporting mechanisms; and
- (e) and maintain the required insurance coverage.

(3) A licenced person shall at all times, hold and maintain a minimum paid-up capital (paid up share capital

and reserves), shareholders' funds and liquid capital at the amount specified in the Fifth Schedule.

(4) The paid-up capital of a licensee shall be in form of cash, bond or other security approved by the relevant regulatory authority.

(5) Where a licensee intends to or has been authorised to carry out more than one virtual asset service, the licensee shall hold the amount of paid-up capital under this regulation for each activity authorised for.

(6) A relevant regulatory authority may increase the minimum base paid-up capital under this regulation, as it may deem necessary depending on the risk profile of the virtual asset business.

(7) A virtual asset manager shall maintain, at all times, sufficient risk-based capital to cover operational and technology-related risks, in accordance with the guidelines issued by the relevant regulatory authority.

(8) A virtual asset manager managing client funds shall appoint a custodian to safeguard the funds.

(9) Where a Virtual Asset Manager invests in or through a related company, that investment shall not exceed ten percent of the total virtual assets under management, unless otherwise approved by the relevant regulatory authority.

(10) For purposes of this regulation (9), a "related company" means a holding company, subsidiary, or any entity under common control or substantially of the same shareholders.

Reserve assets or money.

74. (1) A licensee shall, at all times, maintain reserve assets or monies equivalent to one hundred percent of the liabilities owed to clients with respect to clients asset being held by the licensee.

(2) The reserve assets shall be maintained by the licensee itself in separate accounts under its management.

(3) The reserve assets shall be maintained in Kenya at all times by the licensee in separate accounts under its management.

Insurance coverage.

75. (1) A licensee shall hold and maintain the following types of insurance coverage—

- (a) professional indemnity coverage of not less than five hundred thousand shillings; and
- (b) such other insurance policy allowing for the necessary protection and coverage of client's assets,

that commensurate with the level of risks and the scale of proposed virtual asset service provider business.

(2) Where the licensee has demonstrated that it has exhausted all means in obtaining the insurance coverage under sub regulation (1), the licensee shall submit, for approval to the relevant regulatory authority, a proposal in respect of an alternative means to insurance coverage address the level of risks and the scale of the proposed business.

(3) All insurance policies shall be held and maintained with an insurer licensed in Kenya or an insurer in a jurisdiction outside of Kenya which has been approved by the relevant regulatory authority.

(4) The insurance policies may be held in the name of another entity within the licensee's group provided that the relevant insurance policy—

- (a) explicitly states that the licensee is an insured party; and
- (b) states the nature and the level of cover applicable to the licensee.

(5) A licensee shall maintain appropriate insurance cover against cyber security risks including theft, loss of keys, or operational failure.

Accounting records.

76. (1) A licensee shall keep accurate accounting records which are able to show and explain its transactions, whether are effected on its own behalf or on behalf of the clients and that—

- (a) disclose with reasonable accuracy, at any time, the financial position of the licensee at that time; and
- (b) enable the licensee to prepare a statement of comprehensive income and statement of the financial position as at any time and which comply with the requirements of these

Regulations;

(2) The accounting records shall, in particular, contain—

- (a) entries from day to day of all sums of monies and virtual assets, including initial coin offerings, received, exchanged, sold, transferred and held in custody;
- (b) details on administrative expenditures, receipts of commissions and charges imposed for transactions by the licensee;
- (c) a record of all assets and liabilities of the licensee including any commitments or contingent liabilities;
- (d) entries from day-to-day transactions of all virtual assets, including initial coin offerings, distinguishing those which are made by the licensee on its own account and those which are made by and on behalf of others;
- (e) entries from day-to-day of all clients' monies, virtual assets, initial coin offerings which is paid into or out of a client's bank account or client's virtual asset, initial coin offerings and initial coin offerings account or any wallet;
- (f) record of balances on client's account.

(3) The accounting records that a licensee are required to keep shall conform to the requirements of international accounting standards.

(4) A licensee shall preserve, in original digital form, the accounting records that is required to be kept under this regulation for at least seven years from the date of completion of the transactions or operations to which they each relate.

(5) The accounting records which are required to be kept under this regulation shall, at any time during the period in which they are required to be preserved, be produced for inspection to the relevant regulatory authority, or any person authorised by the relevant regulatory authority to receive the records, on demand at a reasonable time and place as may be specified by the relevant regulatory authority or the authorised person.

Appointment of an external auditor.

77. (1) A licensee shall, with the approval of the relevant regulatory authority, appoint an external auditor who is a member of good standing of the Institute of Certified Public Accountants of Kenya to carry out an audit of the transactions in its business.

(2) The relevant regulatory authority may require an auditor appointed under sub regulation (1) to—

- (a) submit to the relevant regulatory authority such information or report as the relevant regulatory authority may require in relation to the audit carried out by the auditor;
- (b) extend the scope of an audit of the business and affairs of the business of the virtual asset service provider and to submit a report to the relevant regulatory authority; and
- (c) carry out any examination or establish any procedure in any particular case.

(3) A person appointed as an auditor under this regulation shall serve for a maximum period of four consecutive years.

Auditor's report.

78. (1) Where the auditor's report is qualified on the grounds of the auditor's uncertainty as to the completeness or accuracy of the accounting records under regulation 76, that report when submitted by the licensee to the relevant regulatory authority shall be accompanied by a written document signed by at least two directors stating whether all —

- (a) the accounting records of the licensee have been made available to the auditor for the purposes of the audit;
- (b) transactions undertaken by the licensee have been properly reflected and recorded in its accounting records; and
- (c) other records of the licensee and related information have been made available to the auditor.

(2) If the auditor is of the opinion that any of the requirements in regulation 76 have not been met, the auditor shall, as soon as is practicable and in any event within 7 days, report it in writing to the relevant regulatory

authority and the licensee.

Reports by the
licensee.

79. Every licensee shall submit to the relevant regulatory authority—

- (a) semi-annual financial statements to the Authority within one month after the end of the half year period;
- (b) monthly financial statements to the relevant regulatory authority within fifteen days from the end of the month;
- (c) monthly and annual periodic capital adequacy or liquidity statements;
- (d) audited annual financial statements within three months after the end of the financial year;
- (e) promptly disclose any event that could materially affect solvency, valuation of virtual assets or client protection.

Reports by virtual
asset exchange.

80. Each virtual asset exchange shall submit a monthly report to the relevant regulatory authority which shall include—

- (a) a summary of all virtual assets listed, suspended, or delisted during the financial year;
- (b) aggregate trading volumes and values;
- (c) fiat and virtual assets;
- (d) daily electronic trading reports, including transaction volumes and price movements;
- (e) quarterly reports of all transactions, including off-platform trades and transfers;
- (f) an annual audited financial statement prepared in accordance with applicable accounting standards.

Reports by virtual
asset managers.

81. Every licensee undertaking virtual asset management shall submit the relevant regulatory authority—

- (a) quarterly reports of assets under management by virtual asset managers within 21 days from

the end of the quarter;

- (b) semi-annual financial statements of assets under management;
- (c) audited financial statements of assets under management.

Financial year.

82. The financial year of every licensed person shall be the period of twelve months ending on the 31st December in each year.

PART VII — CYBER SECURITY MEASURES AND SYSTEMS AND CONTROL

Cyber security strategy.

83. (1) Pursuant to section 28(1) of the Act, a licensee shall have in place cyber security measures for the establishment and maintenance of appropriate systems and controls for managing cyber security and operational risks that may arise from inadequacies or failures in its processes and systems.

(2) In giving effect to the provisions in subregulation (1), a licensee shall—

- (a) have in place organisational, human and technological resources to prevent system and process failures or in the event of such a failure, to identify them and undertake the necessary steps for prompt rectification;
- (b) ensure that it has in place arrangements for the continuity of operations in the event that a significant process or system becomes unavailable or is destroyed; and
- (c) ensure adequate monitoring mechanisms are in place to quickly detect and prevent cyber incidents and periodically evaluate the effectiveness of systems and controls.

(3) Furtherance to the requirements provided for under sub regulation (2), a licensee shall—

- (a) ensure that there is adequate senior management oversight over its cyber security systems with clearly defined roles, responsibilities and accountability for staff implementing, managing and overseeing the effectiveness of the licensee's cyber security

strategy and policy;

- (b) ensure that the documentation of its internal processes and systems is maintained and distributed in managing operational and cyber security risk; and
- (c) ensure that all staff receive appropriate training in relation to cyber security on a periodic basis.

(4) A licensee shall review its cyber security strategy and policy regularly, and at least annually, in response to changes in cyber security risks, as well as in response to a cyber security incident or to any issues or weaknesses identified specific to the licensee operation.

(5) Further to sub regulation (4), the licensee shall submit the results of its review of the cyber security strategy and policy, and any remedial actions needed, to its board of directors as soon as practicable and, in any event, no later than one month after the date on which the review was approved by its board of directors.

(6) Where a person acts in contravention of this regulation, the relevant regulatory authority shall take such enforcement action as it deems necessary under the Act, and may impose an administrative penalty of three million shillings.

Systems and control:

84. (1) A licensee shall at all times ensure that its systems and controls are adequate and suitable for the performance of a virtual asset business and appropriate to the size and nature of its operations.

(2) The systems and controls in sub regulation (1) shall be in relation to the—

- (a) transmission of information to purchasers and customers using its distributed ledger technology platform;
- (b) assessment and management of risks;
- (c) safeguarding and administration of assets which belong to purchasers or its customers; and
- (d) the fitness and propriety of its employees and the adequacy of the technology resources.

(3) In maintaining appropriate systems and controls under sub regulations (1) and (2), a licensee shall have regard to—

- (a) confidentiality, including the safe storage of information and transmission of data in accordance with clear protocols, which may require firewalls within a system, as well as entry restrictions and compliance with relevant data protection laws;
- (b) accessibility of the system to authorized persons, employees of the licensee and as the case maybe, to authorized employees of the relevant regulatory authority;
- (c) integrity, including safeguarding the accuracy and completeness of information and data through its system and control;
- (d) maintenance of systems and infrastructure, including proper code version control, implementation of updates and resolution;
- (e) procedures to address updates to technological infrastructure, including forks.

(4) The systems and control of a licensee shall include the following audit functions —

- (a) vulnerability assessment, risk assessment and penetration testing of those systems conducted on a bi-annual basis during the first year of licensing and at least once a year for subsequent years;
- (b) audit trail systems that —
 - (i) track and maintain information and data that allows for the complete and accurate reconstruction of all financial transactions and accounting;
 - (ii) protect the integrity of data stored and maintained as a part of the audit trail from alteration or tampering;
 - (iii) protect the integrity of hardware from alteration or tampering, including by limiting electronic and physical access permissions to hardware and

maintaining logs of physical access to hardware that allows for event reconstruction;

- (iv) log system events, including but not limited to access and alterations made to the audit trail systems and cyber security events;
- (v) maintain records produced as part of the audit trail;
- (vi) the effectiveness of the safe keeping, storage and accessibility of the virtual assets being kept by the licensee.

(3) Subject to the approval of the relevant regulatory authority, a licensee shall appoint a qualified independent party to audit its systems and control, as and when may be required by the relevant regulatory authority, and provide a written opinion to the relevant regulatory authority that the licensee's program and controls are suitably designed and operating effectively to meet the licensee's obligations under these Regulations.

(4) Further to sub regulation (3), in making an appointment, a licensee shall consider and state in the resolution making the appointment whether the independent party conducting the audit, as the case may be—

- (a) holds the required qualifications and competence, has proven experience and adequate resources to perform the appointee's functions; and
- (b) is independent of the licensee in that the appointee or, in the case of a firm, any of its partners has no relationship with, or interest in, the licensee, any of its group of companies, nor has any connection with any director or substantial shareholder of the licensee that could reasonably be perceived as materially affecting the exercise by the appointee of an independent mind and judgement in the performance of the appointee's duties.

(5) A licensee shall carry out regular reviews of its systems and control.

(6) Where a person acts in contravention of sub

regulations (2) and (3), the relevant regulatory authority shall take such enforcement action as it deems necessary under the Act, and may impose an administrative penalty of three million shillings.

Cyber security audit

85. (1) The relevant regulatory authority may at any time—

- (a) commission an audit of a licensee; or
- (b) call for an investigation of the licensee.

(2) The relevant regulatory authority may—

- (a) require an officer of the licensee to produce or furnish to the relevant regulatory authority officer making an examination, within a reasonable time;
 - (i) such books of accounts and any other documents in the custody or power of the licensee; or
 - (ii) statements or information relating to the affairs of the licensee as may be required by the examining officer;
- (b) at any time, enter any premises where a licensee is carrying on virtual asset business, or any premises where the relevant regulatory authority reasonably suspects that any virtual asset business is carried out in contravention of these Regulations.

Reporting of cyber security risk

86. (1) Where the licensee discovers a cyber security risk as a result of a cyber security event, it shall notify the relevant regulatory Authority of any attempt within twenty-four hours.

(2) Further to subsection (1), for any successful attempt, the licensee shall provide a report within 5 working days on whether the cyber security incident —

- (a) affects or has affected the services or network and information systems that support critical or important functions of the licensee;
- (b) affects or has affected services for which the licensee has been authorized to provide;
- (c) constitutes or has constituted a malicious and

unauthorized access to the network and information systems of the licensee.

(3) The report under subsection (2) shall include the remedial actions to mitigate cyber security incident and prevent future cyber security event.

(4) A virtual asset custodial wallet provider shall report any material cybersecurity incident, loss of keys, or unauthorised transaction within 24 hours and shall maintain appropriate insurance cover against theft, loss of keys, or operational failure.

Cyber security audit report.

87. (1) For the purpose of section 49(2)(i)(iii) of the Act, a cyber security audit report shall be duly prepared by the fit and proper person responsible for information security, containing—

- (a) the functionality and integrity of the licensee's electronic systems;
- (b) any identified cyber security risk arising from any virtual asset service carried on or to be carried on, by the licensee; and
- (c) the cyber security program implemented and proposals for steps for the redress of any inadequacies identified.

(2) Where a person acts in contravention of this regulation, the relevant regulatory authority shall take such enforcement action as it deems necessary under the Act and may impose an administrative penalty of three million shillings.

PART VIII—SAFEKEEPING AND MANAGEMENT OF CLIENT'S ASSETS

Safeguarding of client's assets strategy.

88. Where a distributed ledger technology platform provides for the safeguarding and administration of assets which belong to purchasers and customers, and in pursuant to section 31 of the Act, a licensee shall ensure that—

- (a) satisfactory arrangements are made for that purpose; and
- (b) clear terms of agreement exist between the purchaser, customers and the licensee in relation to the virtual asset.

Customer protection.

89. (1) A licensee shall at all times provide safeguards to ensure customer protection to such standard as the relevant regulatory authority may determine.

(2) Without derogating from the generality of sub regulation (1), a licensee shall have business rules, procedures and an effective surveillance programme that ensure that a virtual asset business conducted on or through its distributed ledger technology platform or trading systems is conducted in an orderly manner to provide proper protection to customers, including monitoring for conduct which may amount to market abuse, financial crime, money laundering, terrorism financing or proliferation financing.

(3) In furtherance of the duty to protect the clients assets under sub regulation (1), a licensee shall—

- (a) establish policies, systems and controls for the safekeeping and management of client assets;
- (b) make adequate arrangements to safeguard clients' ownership rights, mitigate the risk of loss or diminution on the value of clients' assets; and
- (c) establish and maintain adequate organizational arrangements for transfer of client assets.

(4) A licensee shall, as part of its policies, procedures and controls for the safekeeping and management of client assets, including the reconciliation of client assets, specify how client assets are protected against loss or misuse and how client assets are segregated so that they are not subject to the claims of the licensee's creditors as envisaged under section 31(d) of the Act.

(5) A licensee shall make the policies referred to in sub regulation (3)(a) available in summarized form to its clients in electronic format, upon request, no later than 2 working days from the date of receipt of the request.

(6) A licensee who contravenes this regulation shall be subjected to enforcement action as it deems necessary under the Act, and the relevant regulatory authority may impose an administrative penalty of three million shillings.

Customer service agreement.

90. (1) A licensee shall—

- (a) enter into a customer service agreement with every customer to which it renders services;
- (b) submit to the relevant regulatory authority a copy of the standard customer service agreement applicable to each service offered to the public;
- (c) in the event of handling a dormant account comply with the provisions of Unclaimed Financial Assets Act; and
- (d) in the case of a deceased persons' account, comply with the Law of Succession Act.

(2) A customer service agreement under sub regulation (1)(a) shall, at minimum include—

- (a) a detailed description of the virtual asset services offered;
- (b) the registration requirements for account opening;
- (c) the procedures for maintaining a customer account;
- (d) the privacy policy of the licensee;
- (e) the customer account use and access responsibility;
- (f) the suspension, termination and freezing of accounts;
- (g) the dispute resolution and the governing law;
- (h) the warranties and liability;
- (i) the indemnity;
- (j) the exclusions or limitations of the virtual asset service;
- (k) disclosure and data retention;
- (l) *force majeure*;
- (m) details on how dormant accounts are handled; and
- (n) details on how accounts of deceased persons

are handled.

91. (1) Pursuant to section 24(h) of the Act, a licensee shall open and operate all client and licensees own accounts in a bank licensed in Kenya.

(2) A licensee shall ensure that the total amount and type of client assets held for clients matches the amounts it has agreed to hold.

(3) Any transfer undertaken of client assets shall be authorised or expressly permitted by the client.

(4) A licensee shall, following the day on which clients' funds, other than client assets, are received, place those funds by the end of the business day, with a bank or financial institution in accordance with these Regulations.

(5) A licensee shall take all necessary measures to ensure that clients' funds, other than client assets, held in accordance with sub regulation (4), are held in an account separate to that is used to hold funds belonging to the licensee.

(6) A licensee shall —

- (a) on a segregated basis, in which case the licensee needs to clearly identify and segregate virtual assets belonging to different clients;
- (b) on an omnibus basis, in which case the licensee needs to ensure at all times that the total amount and type of virtual assets held for clients matches the amounts it has agreed to hold, and that the licensee shall be able to, at all times, know the amount and type of virtual assets being held for each clients.

(7) A licensee shall have adequate arrangements in place to safeguard the ownership rights of clients over their client assets and prevent the use of those assets for their own account.

(8) A licensee shall not use client assets for its own account or the account of any other person or client of the licensee, unless —

- (a) the client has given explicit prior consent to the use of the client assets on specified terms; and

- (b) the use of that client's assets is restricted to the specified terms to which the client consents.

(9) For the purposes of sub regulation (8), the consent provided by the client shall be recorded and retained, showing the date and time at which the consent was given.

(10) A licensee shall take appropriate measures to prevent the unauthorized use of client assets for its own account or the account of any other person.

(11) A licensee shall have procedures in place to ensure that clients have a means by which to access their client assets.

(12) Where a person acts in contravention with this regulation, the relevant regulatory authority shall take such enforcement action as it deems necessary under the Act and may impose an administrative penalty of three million shillings.

Systems and
controls to safe-
keep client assets.

92. (1) A licensee shall ensure that technology used for the purpose of holding client assets is reliable, resilient and compatible with the client assets being held, where applicable.

(2) A licensee, in complying with sub regulation (1) shall have regard to—

- (a) the impact of the software architecture of the wallets used to hold client assets and the interoperability of systems used to hold them; and
- (b) the systems' ability to ensure that security measures for access and use of private and public keys, hot and cold wallets storage, password protection and encryption, are reliable and effective.

(3) Where a person acts in contravention with this regulation, the relevant regulatory authority shall take such enforcement action as it deems necessary under the Act and may impose an administrative penalty of three million shillings.

Protection from third
party claims.

93. (1) A licensee shall not grant any security interest, lien or right of set-off to another person over any client assets unless it applies directly to the clearing or settlement of such obligations as owed directly by the client to whom

such security interest, lien or right of set-off claim is against.

(2) A licensee shall maintain records of any security interest, lien or right of set-off which it applies under subregulation (1), including any court order, legal proceeding or similar records served upon the licensee, the amount and nature of the client assets and the date upon which the obligation was applied.

(3) Where a person acts in contravention with this regulation, the relevant regulatory authority shall take such enforcement action as it deems necessary under the Act and may impose an administrative penalty of three million shillings.

Records and
accounts.

94. (1) In fulfilling its obligations under these Part, a licensee shall ensure that it maintains accurate and up to date records that are easily accessible by the client.

(2) A licensee shall make accessible at its office a register and enter in it the following information as appropriate to the relevant client—

- (a) the name of the client;
- (b) the clients' rights to its assets;
- (c) the any movement of client asset with reference to instructions received from the client.

(3) A licensee shall use the register referred to in sub regulation (2) to track, record transactions and ownership of client's assets and reconcile the client assets on a client-by-client basis to resolve any discrepancies with consideration to be had to relevant off-chain and on-chain records.

PART IX— MARKET CONDUCT AND RELATED OFFENCES

Standards of
conduct.

95. A licensee shall, when conducting a licensed activity, apply principles of best practice and, in particular—

- (a) observe a high standard of integrity and fair dealing;
- (b) act with due skill, care and diligence; and

- (c) observe high standards of market conduct.

Designation of a
virtual asset service.

96.(1) The relevant regulatory authority may, by notice, designate a virtual asset service for the purposes of the Act, if in its assessment—

- (a) the virtual asset service poses systemic risk;
- (b) the designation is necessary to protect the interests of the public; or
- (c) such designation is in the interest of the integrity of the payment system.

(2) The notice issued under subsection (1) shall indicate the conditions to be met by the licensee.

(3) The relevant regulatory authority may, by notice, withdraw the designation or vary the conditions attached to the designation.

(4) Any person who fails to comply with a notice issued under this section shall be guilty of an offence under the Act.

Clients'
understanding of
risk.

97. (1) A licensee shall not—

- (a) recommend a transaction to a client, or effect a transaction with or for him, unless it has taken all reasonable steps to enable the client to understand the risks involved;
- (b) knowingly mislead a client on any advantages or disadvantages of a contemplated transaction;
- (c) promise a return on any investment.

(2) A licensee shall give sufficient information to the client to ensure that the client's decisions are informed.

(3) A licensee shall, when making recommendations to a client, take all reasonable steps to ensure that the client has a proper understanding of—

- (a) the nature of the investment;
- (b) the fees and charges associated with the investment;
- (c) the risks of the investment;

- (d) risks related to AML/CFT/CPF;
- (e) the factors that are likely to affect the performance of the investment;
- (f) the terms and conditions of the investment;
- (g) the consequences of departing from the terms and conditions of the investment.

(4) Where a licensee—

- (a) after giving a client an explanation, in writing, is satisfied that the client understands the information required to be given under subregulation (3), the licensee shall retain a copy of such explanation in its records;
- (b) gives an explanation orally, it shall send a written note of the advice to the client and retain a copy of the explanation in the client's file;
- (c) is of the opinion that an explanation is not required, because of the client's existing knowledge, it shall document that opinion in its records.

Governance
arrangements

98. (1) A licensee shall establish effective, transparent and adequate governance arrangements to ensure continued integrity of its services.

(2) The governance arrangements established under subregulation (1) shall include—

- (a) a board of directors consisting of persons who meet the fit and proper criteria as set out in the Fourth Schedule;
- (b) clearly defined and documented organisational structure including ownership and management structure;
- (c) segregation of duties and internal control arrangements; and
- (d) the separation of virtual asset business by the licensee in a separate business unit from its other business units, including maintaining a separate management structure and keeping

separate books of account.

(3) A licensee offering payment services shall establish adequate operational arrangements for its services.

(4) The operational arrangements established under sub regulation (3) shall include—

- (a) rules and procedures setting out the rights and liabilities of the licensee and the user;
- (b) the risks the user may incur;
- (c) measures to ensure prudent management of the funds collected from users, including measures to ensure that such funds are available at all times for repayment to users;
- (d) measures to ensure safety, security and operational reliability of the service, including contingency arrangements; and
- (e) the maintenance of separate records and accounts for virtual asset payment processing services from other business activities.

Board of directors.

99. (1) The board of directors of a licensee shall consist of—

- (a) at least three members of whom one-third shall be independent directors; and
- (b) not more than one third of the directors shall be related to any director.

(2) The chairperson of the board shall not be appointed as the chief executive officer of the licensee.

(3) For purposes of this regulation an “independent director” means a person who—

- (a) has not been employed by the licensee in an executive capacity within the last five years;
- (b) is not associated to an adviser or consultant to the licensee or a member of the licensee’s senior management or a person employed by the licensee in an executive capacity within the last five years, or

- (c) is not associated to a significant client or supplier of the licensee or has not had any business relationship with the licensee within the last five years;
- (d) does not have a contract of service with the VASP, or a member of the licensee senior management;
- (e) is not a close relation of an adviser or consultant to the licensee or a member of the licensee senior management;
- (f) has not had any of the relationships described in paragraphs (a), (b), (c), (d) and (e) with any affiliate of the licensee.

Role of the board of directors.

100. (1) The board of directors of a licensee shall be collectively responsible for the conduct and governance of its virtual asset business and in particular shall—

- (a) give strategic direction to a licensee;
- (b) ensure the integrity of the licensee's accounting and financial reporting systems;
- (c) manage risks affecting the regulated activity and shall regularly review the effectiveness of the risk management process; and
- (d) ensure that the licensee complies with the Act and other relevant laws.

(2) The board of directors of a licensee may establish such committees, including an audit committee, as it may consider necessary to assist it in the performance of its functions.

(3) The board of directors of a licensee shall not be discharged from its duties and responsibilities for matters or authority delegated to committees of the board or to the management of a licensee.

Chief executive officer

101. A person shall qualify for appointment or designation as the chief executive officer of a licensee under section 30(1) of the Act, if that person—

- (a) meets the fit and proper requirements under section 18 of the Act; and
- (b) possesses professional competence in virtual

assets or other fields relevant to the operations of virtual asset business.

Finance officers and
internal auditors.

102. The person responsible for the management of finance function and the person responsible for the internal audit function of a licensee shall be a member of the Institute of Certified Public Accountants of Kenya.

Outsourcing
agreements.

103. (1) A licensee may enter into an agreement to outsource its operational functions of provision of virtual asset services.

(2) A licensee who intends to outsource its functions under subregulation (1) shall notify the relevant regulatory authority at least thirty days before such outsourcing agreement is implemented.

(3) For the purposes of this regulation, a licensee shall not outsource its material operational function in such a way as to impair—

- (a) the quality of internal control of the licensee; and
- (b) the ability of the relevant regulatory authority to monitor compliance of the licensee with the Act and these Regulations.

(4) Where a licensee outsources a material operational function under this regulation, the licensee shall ensure that—

- (a) the outsourcing does not result in the delegation by senior management of its responsibilities;
- (b) the relationship and obligations of the licensee to its customers under this regulation is not altered;
- (c) the outsourcing contract provides that the relevant regulatory authority can exercise its oversight and supervisory powers under this regulation in respect of the third parties to who functions are outsourced; and
- (d) the requirements which the licensee is required to comply in order to be licensed and remain so, including any conditions imposed by the relevant regulatory authority are not

undermined.

(5) For the purpose of subregulation (3), an operational function shall be regarded as material if a defect or failure in its performance would materially impair—

- (a) the continuing compliance of the licensee with the requirements of its licence under these Regulations;
- (b) its financial performance; or
- (c) the soundness or the continuity of its virtual asset services.

Outsourcing of
custodial services

104. Where a virtual asset exchange outsources custodial services, it shall—

- (a) only make use of licensed custodial wallet providers licensed under the Act;
- (b) notify the regulatory authority of the use of other entities for the custody of virtual assets as a material change under section 26 of the Act;
- (c) disclose to their customers the terms and conditions associated with such outsourcing arrangements.

Agent arrangements

105. (1) A licensee may appoint an agent to provide any of its services on its behalf by entering into an agency agreement:

Provided such services are approved by the relevant regulatory authority.

(2) A licensee shall be liable to its customers for the acts and omissions of its agent.

Information at point
of service

106. (1) A licensee shall, at the point of service, provide—

- (a) a clear and understandable description of the services which it offers and the rates, terms, conditions and charges for such services;
- (b) clear terms of service to its customers and agents;
- (c) the name of the licensee; and

- (d) a telephone number or such other contact medium which provides access to its customer care system.

(2) The information referred to under subregulation (1) shall be published and displayed conspicuously at all points of service.

Transaction confirmation.

107. A licensee shall, in respect of every contract for the exchange, purchase or sale of virtual assets it has entered into, not later than the end of the trading day after the contract was entered into, make out and send to the client, a confirmation with respect to the transaction.

Fair allocation.

108. Where a licensee has aggregated an order for a client's transaction with an order for its own account transaction, or with an order for another client's transaction, a licensee shall in the subsequent allocation—

- (a) not give unfair preference to itself or to any of the clients; and
- (b) give priority to satisfying orders for client transactions, if all orders cannot be satisfied.

Timely allocation.

109. A licensee shall ensure that any transaction it executes are allocated to the clients who gave the orders in a timely and equitable manner.

Off-market transactions.

110. A licensee shall report all trades in virtual assets dealt with otherwise than at a licensed virtual asset exchange or token issuance platform in such manner as may be specified by the relevant authority.

Inspections.

111. (1) Pursuant to section 35(1) of the Act, the relevant authority may conduct routine onsite and offsite inspections to assess compliance with the Act and these Regulations.

(2) Where the relevant regulatory authority exercises the powers under subregulation (1), the licensee shall—

- (a) grant full access to premises, systems, and records;
- (b) provide explanations, clarifications or data as requested; and
- (c) implement remedial measures within such period as the relevant regulatory authority may

specify.

(3) In furtherance of its powers under this regulation, the relevant regulatory authority shall maintain continuous surveillance of market conduct, transactional activity and systemic risk using data analytics and reporting tools.

Intervention in
management.

112. (1) The relevant regulatory authority may intervene in the management of a licensee where—

- (a) the licensee fails to meet its obligations to its customers;
- (b) the licensee fails to meet its financial obligations to other licensees;
- (c) the licensee fails to comply with a directive issued by the relevant regulatory authority;
- (d) the licensee fails to comply with the provisions of this Act

(2) The relevant regulatory authority may, where necessary, intervene in the management of a licensee during a crisis to safeguard financial stability, protect customers, and preserve public confidence in the financial system.

(3) In any case to which this section applies, the relevant regulatory authority may—

- (a) appoint a statutory manager in accordance with these Regulations;
- (b) remove any officer or employee of a licensee who, in the opinion of the relevant regulatory authority, has caused or contributed to any contravention of any provision of the Act or these Regulations or to any deterioration in the financial stability of the licensee;
- (c) appoint a competent person familiar with the business of the licensee to its board of directors to hold office as a director, who shall not be capable of being removed from office without the approval of the relevant regulatory authority;
- (d) revoke or cancel any existing power of attorney, mandate, appointment or other authority by the licensee in favour of any

officer or employee or any other person;

- (e) restrict the licensee from engaging in new virtual asset business;
- (f) prohibit the licensee from engaging any new agents or direct the licensee to terminate any agency arrangement.

Compliance officer.

113. The board of directors of a licensee shall appoint a compliance officer who shall—

- (a) monitor compliance with the regulatory requirements specified by the relevant regulatory authority, and shall not be involved with any function that is the subject of compliance;
- (b) have sufficient authority to carry out such function;
- (c) have unfettered access to information;
- (d) have direct access to the board of directors;
- (e) take necessary action to rectify any non-compliance;
- (f) report any non-compliance issues that cannot be rectified to the board of directors;
- (g) report to the board of directors any material breaches of the regulatory requirements;
- (h) submit an annual corporate governance report to the board of directors.

Market conduct offences

Insider trading.

114. (1) A person who possesses material non-public information in relation to a virtual asset shall not use that information to acquire or dispose of that virtual asset, or attempt to do so, or encourage or cause another person to deal in that virtual asset.

(2) A person who contravenes the provisions of subregulation (1) commits an offence and shall be liable, on conviction, to a fine not exceeding ten million or imprisonment for a term not exceeding five years, or to both.

Market
manipulation.

115. (1) No person shall enter into or carry out, directly or indirectly, two or more transactions in virtual assets, which by themselves or in conjunction with any other transaction—

- (a) increase, or are likely to increase the price with the intention of inducing another person to purchase, or subscribe for, or to refrain from selling virtual assets issued by the same company or a related company, or such other listed virtual assets;
- (b) reduce, or are likely to reduce, the price with the intention of inducing another person to sell, or to refrain from purchasing, virtual assets issued by the same company or a related company, or such other listed virtual assets; or
- (c) stabilize, or are likely to stabilize, the price with the intention of inducing another person to sell, purchase, or subscribe for, or to refrain from selling, purchasing or subscribing for, virtual assets issued by the same company or by a related company, or such other listed virtual assets.

(2) A person who contravenes the provisions of subregulation (1) commits an offence and shall be liable, on conviction, to a fine not exceeding ten million or imprisonment for a term not exceeding five years, or to both.

False trading and
market rigging.

116. (1) A person shall not create or do anything which is intended or likely to create a false or misleading impression—

- (a) of active trading in virtual assets on a virtual asset exchange or token issuance platform; or
- (b) with respect to the market for, or the price for dealings in, virtual assets traded on the virtual assets exchange or token issuance platform.

(2) Without prejudice to the generality of subregulation (1), a false or misleading impression of active trading in virtual assets is created if a person—

- (a) enters into or carries out, directly or indirectly, any transaction for the sale or purchase of virtual assets which does not involve a change

in the beneficial ownership of the virtual assets, or offers to do so; or

- (b) offers to sell virtual assets at a price which is substantially the same as the price at which he has made or proposes to make, or knows that an associate of his has made or proposes to make an offer to buy the same or substantially the same number of virtual assets.

(3) A person who contravenes the provisions of subregulation (1) commits an offence and shall be liable, on conviction, to a fine not exceeding ten million or imprisonment for a term not exceeding five years, or to both.

Fraudulently inducing trading in virtual assets.

117. (1) A person shall not induce or attempts to induce another person to subscribe for, sell or purchase virtual assets by—

- (a) making or publishing any statement, promise or forecast that is false, misleading or deceptive;
- (b) concealing any material facts;
- (c) making or publishing any statement, promise or forecast which is misleading, false or deceptive; or
- (d) recording or storing in, or by means of, any mechanical, electrical or other device, information that is false or misleading.

(2) A person who contravenes the provisions of subregulation (1) commits an offence and shall be liable, on conviction, to a fine not exceeding ten million or imprisonment for a term not exceeding five years, or to both.

Use of manipulative devices.

118. (1) A person shall not, directly or indirectly, in connection with any transaction with any other person involving the subscription, purchase or sale of virtual assets—

- (a) uses any device, scheme or artifice to defraud the other person;
- (b) engages in any act, practice or course of business which is fraudulent, deceptive or

likely to defraud or deceive that other person

- (c) makes any false statement in relation to a matter or omits to state a material fact that is necessary in order to make the statements made in the light of the circumstances under which they were made, not misleading.

(2) A person who contravenes the provisions of subregulation (1) commits an offence and shall be liable, on conviction, to a fine not exceeding ten million or imprisonment for a term not exceeding five years, or to both.

False or misleading
statements inducing
virtual assets
transactions.

119. No person shall, directly or indirectly, for the purpose of inducing the subscription for, sale or purchase of virtual assets by another person of any company, or of any other virtual assets, or to maintain, increase, reduce or stabilize the price of such virtual assets, makes with respect to the virtual assets—

- (a) any statement which is, at the time and in light of the circumstances in which it is made, false or misleading with respect to any material fact and which that person knows or reasonably ought to know is false or misleading; or
- (b) any statement which is, by reason of the omission of a material fact, rendered false or misleading and which that person knows or ought to know is rendered false or misleading by reason of omission of that fact.

(2) A person who contravenes the provisions of subregulation (1) commits an offence and shall be liable, on conviction, to a fine not exceeding ten million or imprisonment for a term not exceeding five years, or to both.

Front-running

120. (1) No person who has insider information on client orders with a price differential, or is aware of such orders, shall effect an own account transaction in the virtual assets concerned or in any related investments directly or through any other person, to take advantage of the price differential before the client order is executed.

(2) A person who contravenes or facilitates the contravention of the provisions of subregulation (1) commits an offence and shall be liable, on conviction, to a fine not exceeding ten million or imprisonment for a term

not exceeding five years, or to both.

Churning.

121. A licensee shall not –

- (a) deal or arrange a deal in the exercise of discretion for any client; or
- (b) advise a client to deal,

if the dealing could in the circumstances be reasonably considered as too frequent or too large having regard to the trading activities, investment objectives, size and operations of such client.

(2) A person who contravenes or facilitates the contravention of the provisions of subregulation (1) commits an offence and shall be liable, on conviction, to a fine not exceeding ten million or imprisonment for a term not exceeding five years, or to both.

Cold Calling.

122. A licensee shall not, for the purposes of soliciting business relating to a regulated activity, make unsolicited telephone calls or attend at any property, unless it has established and monitors the implementation of operational procedures to—

- (a) maintain a Do-Not-Call list of prospects that is updated whenever any contacted person requests not to be called again;
- (b) train staff on the use of the Do-Not-Call list;
- (c) limit the making calls to between 8 a.m. and 5 p.m;
- (d) oblige the callers to state their first and last names at the commencement of the call;
- (e) oblige the callers to state the firm's name and address and the fact that it is licensed by the relevant Authority at the commencement of the call;
- (f) oblige the caller to provide a detailed overview of any product being marketed by the licensee prior to soliciting any off;
- (g) record and avail copies of all recordings to the relevant regulatory authority for inspection.

(2) A person who contravenes or facilitates the

contravention of the provisions of subregulation (1) commits an offence and shall be liable, on conviction, to a fine not exceeding ten million or imprisonment for a term not exceeding five years, or to both.

PART X— ADVERTISEMENTS AND PROMOTIONS OF VIRTUAL ASSETS AND PRODUCTS

Prohibition.

123. (1) A person shall not carry on, or purport to carry on, the advertisement of—

- (a) virtual asset services; or
- (b) the issue or the promotion of virtual assets, including initial coin offerings and non-fungible tokens, in or from Kenya,

unless that person complies with the requirements of these Regulations.

(2) These Regulations shall not apply to the following persons and activities —

- (a) advertisement by ministry, department, authorities or agencies of the Government;
- (b) persons engaged in the business of printing commercial and promotional materials for licensees or promoters; and
- (c) persons responsible for securing the placement of an advertisement:

Provided they are not responsible for the contents thereof.

(3) Any person acting on behalf of a licensee or promoter shall comply with these Regulations, and the licensee or promoter shall be liable and responsible for such persons as if the licensee or promoter had undertaken the relevant advertising itself.

(4) A person who acts in contravention with this regulation commits an offence and is liable on conviction to a fine not exceeding three million shillings or one year imprisonment, or to both.

General
requirements for
advertisement.

124. (1) Advertisements shall—

- (a) be fair, clear, complete, concise, unambiguous

and unbiased, and shall not be false, misleading nor deceptive;

- (b) contain information that is timely and consistent with any relevant virtual assets, including initial coin offerings or virtual asset services;
- (c) convey an equitable message in respect of the returns, benefits and risks associated with the relevant virtual asset, including initial coin offerings or virtual asset services;
- (d) be clearly identifiable and the media chosen for an advertisement shall be suitable for that advertisement with due consideration as to the target market and or class of consumers;
- (e) not lure or induce clients into malicious virtual asset services and offerings;
- (f) not facilitate illicit actors or high-risk virtual asset service providers in the offering of virtual assets, including initial coin offerings or virtual asset services;
- (g) be in plain language as to be capable of being clearly understood by prospective clients or consumers that might reasonably be expected to see it; and
- (h) not state or imply that relevant virtual assets, including initial coin offerings and non-fungible tokens, or virtual asset services are suitable for a particular class of clients or consumers unless designated as being a product advertisable to a particular class of individuals or persons.

(2) Before selling any relevant virtual asset, including initial coin offerings or virtual asset services because of an advertisement, any licensee or promoter shall ensure that consumers have received sufficient information, regarding such products or services, inclusive of the benefit and potential failings, so as to allow a consumer to make an informed decision.

(3) Advertisements relating to the virtual asset services rendered by a licensee, shall include such relevant information as to the type of service offered, inclusive of

terms and timeframes for client deposits and withdrawals, associated fees payable and such other relevant terms under which the service is provided to clients.

(4) Where a person acts in contravention of this regulation, the relevant regulatory authority shall take such enforcement action as it deems necessary under the Act and may impose an administrative penalty of five million shillings.

Content of
advertisement.

125. (1) A licensee or promoter shall avoid extensive use of technical, legal terminology or complex language in an advertisement which may not convey a clear message to the consumers or may be such as to cause confusion if the likely audience is unfamiliar with the concepts.

(2) All advertisements shall—

- (a) include details of the licensee or promoter, including its full name and tradename (if applicable), licence number and registered office;
- (b) include, if a known third party is issuing or cause the advertisement to be issued on behalf of the licensee or promoter of the virtual asset, the relevant details of the third party;
- (c) be accurate and up-to-date;
- (d) not omit any material relevant facts, and shall not make definitive statements that cannot be sustained;
- (e) use a design and presentation that shall be easily and clearly understood;
- (f) include, if relevant, any approved trademark, tradename, slogan or associated marker to the licensee or promoter;
- (g) always give a fair, balanced and clear indication of any relevant risks when referencing potential benefits;
- (h) include the contact details where consumers can make enquiries;
- (i) ensure that changes to original information about the virtual asset or virtual asset service are promptly notified and described, with the

advertisement indicating the date the information contained therein was updated.

(3) Where information is sourced externally, the licensee or promoter shall disclose it as being such, and shall ensure that the information is accurate, complete and up-to-date and include the original source.

(4) An advertisement shall only make a comparison, reference to past performance or future performance where this can be provided clearly, accurate, fair, balanced and not misleading, and does not take unfair advantage of the recipient of the communication.

(5) Any reference to the involvement of the relevant regulatory authority in the advertisement shall not be construed or imply that the relevant regulatory authority has approved the advertisement or taken the responsibility for the soundness of the virtual asset, including an initial coin offerings or virtual asset service, and shall be limited to reference as to licensing.

(6) A licensee shall not make reference to the name of any regulator, including the relevant regulatory authority or government in a way that is misleading and shall not use the name of any regulator, including the relevant regulatory authority, without seeking prior approval with the concerning regulator or the relevant regulatory authority.

(7) Where a person contravenes this regulation, the relevant regulatory authority shall take such enforcement action as it deems necessary under the Act and may impose an administrative penalty of five million shillings.

Performance
information.

126. (1) An advertisement shall —

- (a) not contain any projection of performance returns based on borrowing plans where it cannot be evidenced and substantiated;
- (b) when referring to a comparison, ensure that—
 - (i) the comparison is meaningful and presented in a fair and balanced way;
 - (ii) the sources of the information used for the comparison are specified; and
 - (iii) the key facts and assumptions used to make the comparison are included, with

clear provision as to its being an assumption and not a guarantee;

(c) when referring to past performance—

- (i) contain a clear and prominent statement that past performance is not an indicator of future performance;
- (ii) clearly state the reference period and the source of the information provided; and
- (iii) is based on objective, up-to-date and accurate information.

(2) An advertisement that refer to future performance shall ensure that —

- (a) the information gives a balanced impression, covering both negative and positive scenarios;
- (b) it is clear as to the basis on which future performance is predicted; and
- (c) there is a clear and prominent statement that such forecasts are not a reliable indicator of future performance.

(3) An advertisement shall not contain information on future performance if it is not able to obtain objective data to substantiate the advertisement.

(4) Future performance shall not be based on nor refer to simulated past performance.

(5) An advertisement shall advise that a customer should undertake their own research and not rely solely on the information provided within the advertisement or other materials prepared.

(6) Where a person acts in contravention with this regulation, the relevant regulatory authority shall take such enforcement action as it deems necessary under the Act and may impose an administrative penalty of five million shillings.

Fees, costs and
commissions.

127. Where a fee or cost is referred to in an advertisement, it shall give a realistic impression of the overall level of fees and costs a consumer is likely to pay with clear indication as to the fee or cost being an estimate,

if applicable.

Risks and warning disclosures.

128. (1) An advertisement shall adequately display and explain any risks associated with relevant virtual asset, including initial coin offerings or virtual asset service.

(2) Where the price of a relevant virtual asset, including initial coin offerings and non-fungible tokens, or virtual asset service, is denominated in a currency other than Kenya shillings, the consumer shall be warned that changes to the rates of exchange may have an effect on the value, price or income obtained from relevant advertisement.

(3) Where a person acts in contravention with this regulation, the relevant regulatory authority shall take such enforcement action as it deems necessary under the Act and may impose an administrative penalty of five million shillings.

Duty of a person making advertisement.

129. (1) Any person making an advertisement shall, at all times—

- (a) act responsibly, with honesty, fairness, integrity and professionalism;
- (b) avoid aggressive or offensive sale practices;
- (c) avoid indecent images or phrases;
- (d) deal respectfully with the consumers and ensure sufficient disclosure is made for them to make informed decisions;
- (e) be transparent regarding the nature of his, her or its relationship with the licensee or promoter;
- (f) avoid any inaccurate, false, misleading or deceptive information;
- (g) preserve confidentiality of the consumer's information, and not take advantage of such information for personal or another person's gain in conformity with the data protection law.

(2) A person who acts in contravention with this regulation commits an offence and is liable on conviction to a fine not exceeding three million shillings or 2 years imprisonment, or to both.

Duties of third parties making advertisements.

130. (1) Any person acting on behalf of a licensee or promoter, where appropriate, shall—

- (a) always disclose his full and accurate identity, at the time of introduction with consumers;
- (b) always disclose to consumers before entering into any contract for relevant virtual asset, including initial coin offering and non-fungible tokens, or virtual asset service, all benefits that will be paid to him or her, whether by way of fees, commissions, dividends (directly or indirectly) or otherwise under such contract, based on his relationship and interest that he or she may share with other parties which are associated with the relevant products or services;
- (c) always disclose if they are being paid to promote or feature such a promotion on personal, business or other web pages controlled by the person itself.

(2) A person who acts in contravention with this regulation commits an offence and is liable on conviction to a fine not exceeding three million shillings or 2 years imprisonment, or to both.

Internet advertisement.

131. An advertisement on the internet shall adhere to the following principles and standards —

- (a) electronic advertisements shall be identical to the most upto-date paper versions;
- (b) there shall be a prominent statement on the relevant web pages, which is capable of being seen and read with reasonable ease by the consumer accessing the electronic copies of such advertisements, to the effect that printed copies of the advertisements are also available, as well as where and how they can be obtained;
- (c) any advertisements on the relevant web pages shall remain available for as long as it is necessary for the consumers to have a reasonable opportunity to read or access them, or for such duration of validity period as may be relevant from time to time;

- (d) consumers shall also be given the opportunity to retain the information through printing and downloading; and
- (e) downloadable advertisements should contain the date by print or watermark or through a time stamp in the downloadable version of the triggered date that the download has occurred.

132. A licensee or promoter shall, inter alia, abstain from the following internet-based advertisement practices when making an advertisement over the internet—

- (a) hiding essential information by the close proximity of promotional images or additional text;
- (b) reducing risk warnings in importance due to their location outside of the main advertisement border;
- (c) diminishing some statements through the use of small font sizes, hard-to-read coloring, being placed at non prominent positioning and unclear type styles so as to render difficult or ineligible to read;
- (d) hiding important information within, or in some cases absent from, the respective internet landing page and only accessed through significant scrolling down or multiple page links;
- (e) due to positioning, making risk warnings easy to overlook, resulting in consumers being taken directly to an application form by clicking onto a banner advertisement;
- (f) publishing risk statements within a “pop-up” box that only appears on the consumer's initial visit to the relevant website;
- (g) providing minimal information on the risks associated to specific products being promoted;
- (h) obscuring key information or warnings, such as fees or exclusions, within the internet website or placed under a separate section or heading;
- (i) incentives such as bonuses and inducements published on the main web page, but which are

subject to conditions within pages noted in paragraph (h), that are not explained at the outset of account opening, transfer of funds or virtual asset;

- (j) not taking into account the different-sized browsers of consumers when positioning risk information whereby it is necessary to scroll down to access the information; and
- (k) superimposing important information, statements or warnings across colored or patterned backgrounds which lessen their visual impact.

Record keeping

133. A licensee or promoter shall maintain adequate records of its advertisements, including details of who signed off each advertisement and when it was signed off, for at least 7 years after the advertisement ceases to be available to consumers, or such other period which the relevant regulatory authority may request.

PART XI—FREEZING AND SEIZURE ORDERS

Interpretation of this Part

134. In this Part—

“authorised officer” means—

- (a) a police officer;
- (b) any officer, employee, or agent of a competent authority who is appointed to perform any specific function, duty, or exercise any power conferred upon an authorised officer under these Regulations or any written law;

“freezing order” means an order issued by a competent court or other lawful authority directing a virtual asset service provider to prohibit any dealing, transfer, conversion, withdrawal or disposal of a specified virtual asset; and

“seizure order” means an order issued by a competent court or other lawful authority directing the taking of possession or control of specified virtual assets for purposes of preservation or forfeiture.

Freezing and seizure of virtual assets

135. (1) A freezing order or seizure order under these Regulations shall be obtained in accordance with the procedures and evidentiary requirements set out under the

Proceeds of Crime and Anti-Money Laundering Act and the Anti-Corruption and Economic Crimes Act, or any other written law relating to the identification, tracing, seizure, or forfeiture of proceeds of crime.

(2) Without prejudice to the generality of subregulation (1), the powers of investigation, preservation, seizure, production of records, compensation and forfeiture applicable under the Proceeds of Crime and Anti-Money Laundering Act, the Anti-Corruption and Economic Crimes Act or any other relevant law shall, with the necessary modifications, apply to virtual assets and Virtual Asset Service Providers.

(3) Nothing in these Regulations shall be construed as limiting the competent authority to seek orders under the Proceeds of Crime and Anti-Money Laundering Act, the Anti-Corruption and Economic Crimes Act or any other relevant law for the recovery of virtual assets that constitute proceeds of crime or unexplained assets.

General freezing and
seizure orders:
Obligations of
licensee.

136. (1) Every licensee shall comply effectively with any freezing order and seizure orders.

(2) Without prejudice to the generality of subregulation (1), cooperation under this regulation shall include—

- (a) responding promptly to lawful requests for information, documents, records, or other materials relevant to any investigation or proceedings;
- (b) providing access to virtual asset transaction records, customer identification data, beneficial ownership information, and any other data maintained pursuant to these Regulations;
- (c) producing documents, records, or information in such form and within such timeframe as may be specified by the competent authorities;
- (d) maintaining systems and procedures to enable timely and effective responses to competent authority's requests;
- (e) cooperating in the execution of court orders, warrants, directives, or other lawful

instruments issued by competent authorities.

Freezing orders:
Obligations to
licensee.

137. A licensee served with a freezing order shall—

- (a) immediately freeze the specified virtual assets;
- (b) prevent withdrawal, transfer or conversion related to the frozen assets;
- (c) preserve all records relating to the frozen assets, including client information, transaction logs, wallet addresses, keys and any other relevant data;
- (d) ensure that any internal or third-party custodian, sub-custodian, exchange partner or distributed ledger technology-infrastructure provider engaged by the licensee also complies with the order to the extent that they maintain control over the assets;
- (e) comply with competent authorities and provide all documents, records, data, or technical information required in the freezing order, including—
 - (i) addresses or accounts;
 - (ii) customer identification records;
 - (iii) transaction histories, logs, client records and meta-data;
 - (iv) wallet identifiers, addresses, and associated credentials; and
 - (v) transaction histories.
- (f) any other information that the competent court may order.

Preservation of
value.

138. (1) An authorised officer shall take all reasonable measures to maintain the value and integrity of seized virtual assets.

(2) The authorised officer may, upon approval of the competent court, convert volatile virtual assets into stablecoin or *fiat* currency to preserve value, where necessary.

Seizure orders:
Obligations of
licensee.

139. A licensee served with a seizure order shall—

- (a) immediately surrender control of the specified virtual assets to the competent authority;
- (b) provide full access to relevant wallets, addresses or accounts, digital records or as may be specified in the order;
- (c) transfer the virtual assets to a designated, secure digital wallet controlled by the competent authority;
- (d) provide transaction histories, logs, client records and technical information necessary for enforcement of the order;
- (e) grant an authorised officer access to any premises where the virtual asset devices are suspected to be and the authorised officer may seize and detain any physical device, hardware wallet, seed phrase backup or electronic system necessary to access the virtual assets.

Custody and
management of
seized virtual assets.

140. (1) All seized virtual assets shall be transferred to a secure wallet controlled by the relevant government agency.

(2) The competent authority shall—

- (a) maintain a detailed chain-of-custody record, including transaction hashes and transfers executed pursuant to the seizure order; and
- (b) monitor the value of the seized virtual assets.

Offence of failure to
comply.

141. (1) A licensee that fails to comply with a freezing or seizure order commits an offence.

(2) A person convicted under subregulation (1) shall be liable to a fine not exceeding ten million shillings, or imprisonment for a term not exceeding five years, or to both.

PART XII— GENERAL PROVISIONS

Establishment of the
Coordination
Committee.

142. (1) Pursuant to section 6(1)(g) of the Act, there is established a coordination committee to be known as the Relevant Regulatory Authorities Coordination Committee,

hereinafter referred to as the “Coordination Committee”.

(2) The Coordination Committee shall consist of representatives nominated from government agencies by the relevant regulatory authorities.

Mandate of the
Coordination
Committee:

143. The Coordination Committee shall—

- (a) coordinate supervisory and regulatory activities relating to virtual asset service providers;
- (b) facilitate timely sharing and exchange of supervisory, enforcement, and risk-based information;
- (c) harmonize regulatory approaches and resolve cross-sectoral issues affecting virtual asset services;
- (d) support joint inspections, risk assessments, and compliance monitoring, where appropriate;
- (e) issue joint advisories or sector notices where matters cut across more than one relevant regulatory authority;
- (f) prepare and submit to the Cabinet Secretary periodic reports of its activities.

Conduct of business
of the Coordination
Committee:

144. (1) The Coordination Committee shall meet at least once every quarter and may hold special meetings as required.

(2) The Coordination Committee may establish such sub-committees as it may consider necessary to assist in the performance of its functions.

(3) The Coordination Committee shall determine its own procedures.

(4) All members shall comply with confidentiality obligations under section 42 of the Act when sharing information through the Coordination Committee.

(5) The Coordination Committee shall be supported by a Secretariat consisting of persons nominated by the relevant regulatory authorities.

Notice to penalise:

145. The relevant regulatory authority shall, before imposing a penalty on any licensee under these

Regulations, give the licensee not less than seven days' notice, requiring the licensee to show cause as to why the penalty should not be imposed.

Voluntary
liquidation.

146. (1) Subject to the Insolvency Act, a licensee may, with the approval of the relevant regulatory authority, voluntarily liquidate itself if it is able to meet all its liabilities.

(2) An application for the relevant regulatory authority's approval for the purposes of sub regulation (1) shall be in the manner specified by the relevant regulatory authority.

(3) The relevant regulatory authority may, upon receipt of an application under sub regulation (2), approve the application if satisfied as to the solvency of the licensee.

(4) Where the relevant regulatory authority approves an application by a licensee under this section, such licensee shall forthwith cease all its operations except such activities as are incidental to the orderly realisation, conservation and preservation of its assets and settlement of its obligations.

(5) A licensee, where it holds customer funds, shall discharge its liability to its customers as soon as practicable after the commencement of the liquidation and shall then rank all other creditors in accordance with the Insolvency Act.

Involuntary
liquidation.

147. If an application for the liquidation of a licensee is presented by a person other than the relevant regulatory authority, the applicant shall serve a copy of the application to the relevant regulatory authority, and the relevant regulatory authority shall be entitled to be a party to the proceedings.

(2) The relevant regulatory authority may make an application to the court for the liquidation of a licensee in accordance with Part VI of the Insolvency Act.

FIRST SCHEDULE

(rr. 4(1), 5(2)(r), 6(1), 12(1), 31(1) & 33(2)(f))

FEES PAYABLE

Types	Application Fee (Kshs)	License Fee (Kshs)	Renewal Fee (Kshs)
Virtual Asset Wallet Provider	10,000	500,000	100,000
Virtual Asset Exchange	10,000	500,000	2% of the gross income of previous year or Ksh.200,000, whichever is higher
Virtual Asset Payment Processor	10,000	200,000	100,000
Virtual Asset Broker	10,000	100,000	100,000
Virtual Assets Investment Advisor	5,000	20,000	10,000
Virtual Asset Manager	10,000	100,000	0.05% of assets under management or Ksh.100,000, whichever is higher
Virtual Asset Offering Provider - Initial Coin Offering	10,000	100,000	100,000
Virtual Asset Offering Provider - Virtual Asset Tokenization	10,000	100,000	100,000
Virtual Asset Offering Provider - Token Issuance Platform	10,000	100,000	100,000
Virtual Asset Offering Provider - Stablecoin Issuance	Ksh.10,000	500,000	100,000

TRANSACTION AND APPROVAL FEES

Fee Type	Fee Rate Payable to the Authority
Exchange Transaction Fee	0.08% of the transaction value payable by each counterparty in a transaction facilitated by the exchange
Approval of Virtual Asset Offering	0.5 % of the value of the successful offer
Approval of Stablecoin Issuance	0.25% of Value Issued

OTHER FEES

Description of fee	Amount (Kshs)
Approval fee for proposed acquisition, transfer or disposal	10,000
Approval fee for assignment or transfer of licence	10,000

SECOND SCHEDULE

(r. 5(1))

APPLICATION FOR VIRTUAL ASSET SERVICE PROVIDER LICENCE

The relevant parts of this Form are to be completed by applicants and shall be submitted with any additional information that is required to the relevant regulatory authority.

PART A: APPLICANT'S GENERAL INFORMATION

1. Name of Applicant
2. Trading name(s) of applicant
3. Any other commercial name by which applicant is known or operating as:
4. Former name(s) (if any) by which the virtual asset service provider has been known
5. Date of Incorporation
6. Certificate Reg. No

Full Business Contact Details of Applicant

7. Physical office in Kenya:
L.R. No: Street:
Building:
Town/City:
8. Postal Address and Postal Code:
9. Geolocation Address / Google Maps location pin:
10. Telephone No:
11. KRA P.I.N.:

12. E-mail address

13. Website:

14. Location of other offices in Kenya:

County	Physical Address	Telephone Number	Email Address

15. Countries of operation:

Country	Name	Trade Name	Regulator (where applicable)	Products and services provided	Physical Address of Offices	Telephone Number	Email Address

16. Parent company:

Name	Trade Name	Regulator (where applicable)	Virtual asset services provided	Physical Address of Offices	Telephone Number	Email Address

17. Registered subsidiaries:

Name	Trade Name	Regulator	Products and services provided	Physical Address of Offices	Telephone Number	Email Address

PART B: TYPE OF VIRTUAL ASSET ACTIVITIES

18. Specify the type(s) of virtual asset activities for which the Applicant is

applying for a license as specified in the First Schedule of the Act

PART C: PARTICULARS OF SHAREHOLDERS, DIRECTORS, AND SENIOR OFFICERS

19. Provide full details of Shareholders, Directors, and Senior Officers in the format below.

19.1 Particulars of shareholding:

Note: If more than 10 shareholders, attach a list.

	Name	Nationality	Individual/ Corporate	Percentage Shareholding (%)
1				
2				
3				
4				
5				
6				
7				
8				
9				
10				

19.2 Particulars of Directors

	Name of Propo sed Direct or	Age and Nation ality	Propos ed Capaci ty (Execu tive /Non- Execut ive)	ID No./ Pass port No.	Qualific ation (academ ic and professio nal)	Post al and Ema il addr ess	Tele- phon e cont acts	Experie nce /previo us employ ment	Othe r Curr ent Direc tor ship (s)
1.									
2.									
3.									

4.									
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19.3 Particulars of Senior Officers

	<i>Name of Proposed Senior Officer</i>	<i>Age and Nationality</i>	<i>Proposed Designation</i>	<i>ID No./Pass port No.</i>	<i>Qualification (academic and professional)</i>	<i>Postal and Email address</i>	<i>Telephone contacts</i>	<i>Experience /previous employment</i>	<i>Current Position</i>
1.									
2.									
3.									
4.									

PART D: CAPITAL STRUCTURE AND APPLICANT OPERATIONS

20. Details of the Applicant's capital structure

- i. Nominal capital (KES)
- ii. Number of shares:.....
- iii. Paid up capital (KES):.....

21. Evidence that the Applicant has adequate insurance in accordance with regulation 29. Insurance policy/proposal coverage: _____

22. Provide names and addresses of principal bankers for the virtual asset business.

Name _____ of _____ bank:

Branch _____ name:

Account name:

Account number:
Bank Address:

I/we enclose an original letter from my/our bank confirming the above.

Note: If there is more than one bank account for the virtual asset business, provide full details.

23. Provide a list of your proposed virtual asset custodians, virtual asset service providers offering any other services to you, and other service and technical providers, as applicable.

Description	Services Provided

24. For custodial wallet providers, indicate the types and amounts of virtual assets which the applicant proposes to hold on behalf of clients and reasons for facilitating the safekeeping of these virtual assets.

.....
.....
.....
.....

25. For virtual asset exchanges, provide a list of virtual assets to be listed on the exchange.

.....
.....
.....
.....

26. Operational Capabilities

Provide a detailed description of the Applicant's operational capabilities, including the physical premises, cybersecurity protocols, data management systems, data protection systems, risk management systems, , virtual clearing, virtual custody arrangements (including segregation of customer virtual assets), communication capabilities, business continuity plans, disaster recovery plans, and recovery and redemption plans, as applicable.

.....
.....
.....

27. Policies and Procedures

Provide a summary of the applicant's written audit, internal controls and risk

management policies and procedures, including:

- a) Virtual asset management
- b) Information and Communications Technology (ICT)
- c) Cybersecurity
- d) Data protection
- e) Outsourcing
- f) Operational controls
- g) AML/CFT/CPF policies and controls
- h) Reporting policies
- i) Corporate governance
- j) Code of conduct
- k) Market conduct
- l) Consumer protection

(Attach a complete copy of these policies and procedures.

28. Financial Statements

Provide the audited financial statements, for the two years immediately preceding the year of application or the opening financial statement verified by an auditor (as applicable).

29. Funding

The existing and/or intended sources of funds to be utilised in the virtual asset business are as follows:

Type of Funding	Approximate Percentage
Own funds	
Borrowed funds	
Donor funds	
Any other (please specify)	

30. Contact Person of the Applicant

Give the name, business telephone number, and email address of a senior officer of the Applicant who is knowledgeable about the application and who may be contacted to discuss it.

Name:
Telephone Number:
Email Address:

PART E: DECLARATION

DECLARATION:

To be signed and submitted by two directors of the applicant.

We, the undersigned, declare that we are duly authorised to make this application. We confirm that we have read and understood the provisions of the *Virtual Asset Service Providers Act* and the Regulations made under it and the *Proceeds of Crime and Anti-Money Laundering Act* and the Regulations made under it, and we declare that the business in respect of which this application is made will be conducted in accordance with the law. We declare the information provided in the application to be accurate in all material aspects to the best of our knowledge and belief.

We affirm that to the best of our information, knowledge and belief, the applicant is currently in compliance with all the applicable provisions of the Act; and the contents of this form and any attachments provided with this form are true, correct and not misleading.

Certification and signature of at least two directors

DIRECTOR:
(Name and signature)
DIRECTOR:
(Name and signature)
Date:

**WITNESSED BEFORE ME:
COMMISSIONER FOR OATHS/MAGISTRATE**

Name:

Signature:

Address:

Date and Stamp:

REQUIRED ATTACHMENTS

I/We enclose the following:

1. Non-refundable application fee as per the schedule.
2. Identity documents, including passports and proof residence for each natural person in Part B.
3. A certified copy of the applicant's Memorandum and Articles of Association, or equivalent incorporation documents by which the applicant is constituted.
4. Certificate of Incorporation from Registrar of Companies.
5. CR12 and BOF1 form.
6. Copy of PIN tax compliance certificate for the Applicant.

7. A copy of any other registration or licensing certificate (if applicable).
8. Copy of the latest financial statements of the business (if already conducting a virtual asset business) or statement of financial position (if the applicant has not commenced operations).
9. Copy of the applicant's detailed and up to date business plan, inclusive of financial and operational projections, staffing requirements, a description of the products and services offered, target market and technological requirements as per the Third Schedule.
10. Copy of the applicant's written supervisory, internal controls and risk management policies and procedures.
11. Evidence that the applicant has adequate insurance and minimum base capital in accordance with regulation 4.
12. Organisational structure, including job descriptions for each office bearer.
13. A schedule of proposed fees for services rendered by the virtual asset business.
14. Copy of the applicant's written policies and procedures, including:
 - (a) Virtual asset management
 - (b) Information and Communications Technology (ICT)
 - (c) Cybersecurity
 - (d) Data protection
 - (e) Outsourcing
 - (f) Operational controls
 - (g) AML/CFT/CPF policies and controls
 - (h) Reporting policies
 - (i) Corporate governance
 - (j) Code of conduct
 - (k) Market conduct
 - (l) Consumer protection
15. The annual accounts, for the two years immediately preceding the year of application of each corporate shareholder holding more than ten per cent of the applicant's issued share capital or total voting rights.
16. A statement indicating whether the applicant intends to provide any other services which are regulated under the Act and these Regulations.
17. Evidence that the applicant has adequate insurance and regulatory capital.
18. Evidence of the applicant's registration with any other regulatory authority, if applicable.
19. Completed Fit and Proper forms as per the Fourth Schedule in respect of each significant shareholder, beneficial owner, director and senior officer of the Applicant.
20. Names and addresses of service providers – (i.e., banks, audit firms, attorneys, and custodians, etc.)
21. Copies of outsourcing or service level agreements (if applicable).
22. An organizational chart of the company ownership structure.
23. A declaration by the individual significant shareholders and directors on the sources of funds. The declaration should be certified by an Advocate or a Commissioner for Oaths

24. All additional information as to be provided in the Application form above.
25. Provide a copy of any agreement, contract or disclosure which will be used during the provision of virtual asset custody services, outlining all information that will be provided to the owners of the virtual assets including, but not limited to, fees, compensation structures, recourse available to the owners of the assets in event of loss and the method by which the owners may access the virtual assets.
26. Provide information about contracts with affiliates or any other third parties regarding any services related to the provision of virtual asset custody services which will be outsourced or provided by a third party.
27. Indicate where physical hardware supporting the trading platform will be located.
28. Provide standard client agreements and terms by which each specific virtual asset will be listed, traded or exchanged, or which customers will be presented with.
29. Provide a detailed outline of the applicant's measures to identify and prevent conflicts of interest, insider trading or price manipulation.
30. Provide a statement outlining the proposed clearing and settlement process which will be utilized by the trading platform in order to perfect trades and exchanges.

THIRD SCHEDULE

(r. 5(2)(b))

BUSINESS PLAN

CONTENTS OF A BUSINESS PLAN

Please provide a Business Plan ensuring that the following details are included in the sequence provided below. Any additional information is encouraged.

1. Executive Summary
 - Overview of the proposed VASP business
 - Vision and mission statement
 - Rationale for market entry
2. Corporate Governance Structure
 - Proposed board structure and committees
 - Board charter, including roles and responsibilities of the Board and its committees
3. Operational Plan
 - Staffing and organisational structure
 - Powers and duties of senior officers
 - Premises and facilities
 - Outsourcing arrangements (if any)
4. Description of Virtual Asset Services to be Offered
 - Nature and scope of activities
 - Operating model and service delivery channels
 - Client onboarding and due diligence procedures
 - Terms, conditions and charges for virtual asset services
5. Technology and Security Infrastructure
 - Description of the ICT systems, cybersecurity controls, network architecture diagram, data flow diagram, interactions with other key components, and the standards they conform to.
 - Trading systems
 - Wallet infrastructure and addresses (hot/cold storage)

- Data protection and privacy measures
- 6. Risk Management Framework
 - Risk register identifying key risks (market, operational, technology, liquidity, custody, fraud, etc.) and risk mitigation strategies.
 - Business continuity and disaster recovery plan.
- 7. Compliance and Internal Controls
 - AML/CFT/CPF framework
 - Compliance monitoring plan
- 8. Financial Projections
 - Revenue model and cost structure
 - Capital adequacy and liquidity plans
 - 3- to 5-year financial projections including Income Statements, statement of financial position and Cash Flow statement projections.
- 9. Market Analysis
 - Target market segmentation
 - Competitor landscape
 - Expected market share and growth strategy
 - Identification of market needs
- 10. Fees and Charges Structure
 - Trading fees
 - Transfer fees
 - Commissions
 - Management fees
 - Other charges
- 11. Client Assets and Safeguarding Arrangements
 - Segregation of client and firm assets
 - Insurance/compensation arrangements
 - Mechanisms put in place to protect users' funds in the eventuality of system failure, revocation/suspension of license/insolvency of the entity/discontinuation of business.

12. Implementation Plan

- Timelines for rollout of virtual asset services
- Key milestones
- Resource allocation
- Indicate envisioned rollout plan for the first three years:

Year	Number of Customers	Value	Volume
Year 1			
Year 2			
Year 3			

FOURTH SCHEDULE

(rr. 5(2)(c), & 98(2)(a))

FIT AND PROPER REQUIREMENTS

FIT AND PROPER FORM FOR DIRECTORS, CHIEF EXECUTIVE OFFICER, AND SENIOR OFFICERS

NB: This form should be duly completed, accompanied by the complete set of documents required under the Regulations and submitted to the relevant regulatory authority.

1. VIRTUAL ASSET PROVIDER

Name of Virtual Asset Service Provider:

Proposed position:

2. PERSONAL INFORMATION

(a) Surname..... Other Names

(b) Previous Names (if any) by which you have been known:
.....

Reasons for change of names

(c) Year and Place of birth:

(d) Nationality and how acquired

(e) Personal Identification Number (PIN)

(f) Identification Card number and date of issue

(g) Passport number, place and date of issue

(g) Postal Address:

(h) Physical Address:

(i) Email address:

(j) Telephone numbers:

3. Educational Qualifications

	<i>Qualifications</i>	<i>Year Obtained</i>	<i>Examining Body</i>	<i>Grade Obtained</i>
1.				
2.				
3.				

4. Professional Qualifications and years obtained

	<i>Qualifications</i>	<i>Year Obtained</i>	<i>Examining Body</i>	<i>Grade Obtained</i>
1.				
2.				
3.				

5. Name(s) of your bankers during the last 5 years:

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.....
.....
.....

6. Responsibilities of proposed position

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7.EMPLOYMENT/ BUSINESS RECORD

<i>Period</i>	<i>Name of Employer/ Business</i>	<i>Position Held & Dates</i>	<i>Responsibilities</i>	<i>Reasons for Leaving (where applicable)</i>

8.DESCRPTION OF PAST AND PRESENT ACTIVITIES IN KENYA AND ABROAD

8.1 SHAREHOLDING (DIRECTLY OWNED OR THROUGH NOMINEES) IN THE PAST 5 YEARS

<i>Company's Name</i>	<i>Certificate of registration No.</i>	<i>Number of Shares held</i>	<i>% of Significant Shareholding</i>	<i>Name and address of Beneficial Owner of shares</i>	<i>Past Shareholding</i>

8.2 DIRECTORSHIPS IN THE PAST 5 YEARS

<i>Company's Name</i>	<i>Certificate of registration No.</i>	<i>Executive or Non-executive</i>	<i>Position held</i>	<i>Date of appointment</i>	<i>Reasons for leaving</i>

8.3 MEMBERSHIP TO PROFESSIONAL BODIES

<i>Name of the institution</i>	<i>Membership No.</i>	<i>Position held</i>	<i>Current status of membership</i>	<i>Reasons for leaving</i>

9.HISTORY

9.1 Have you ever defaulted in your financial obligations in the last five years?

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If yes, give details.....

9.2 Have you at any time been convicted of any offence involving dishonesty or fraud or contravened any law designed to protect members of the public arising from dishonesty, incompetence, malpractice, misconduct in any jurisdiction. If so, give particulars of the court and case number in which you were convicted, the offence, the penalty imposed and the date of conviction

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9.3 Do you confirm that if appointed as a director of the Company that you will undertake your role diligently, in accordance with the duties of a director under the law and that you will do so without reservation? If so give particulars

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9.4 Do you confirm that if you have the knowledge and understanding of the legal and professional obligations to be assumed or undertaken with your position? If so, give particulars?

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9.5 Have you ever been disqualified, under any legislation or regulation from acting as a director or serving in a managerial capacity?

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9.6 Have you, in any country, ever been dismissed from any office or employment, or been asked to resign or resigned from employment or position of trust or fiduciary appointment? If so give particulars

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9.7 Have you ever been adjudged bankrupt?

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If so, give particulars

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9.8 Have you ever been convicted of fraud or theft by a court of law in any country? If so, give particulars

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.....

.....

 9.9 Have you ever been convicted of offences under any virtual assets law in any country? If so, give particulars

.....

9.10 Has any entity with which you were associated as a director, shareholder or manager in any country been in financial distress, made any compromise or arrangement with its creditors, been wound up or otherwise ceased business either while you were associated with it or within three years after you ceased to be associated with it? If so, give particulars

.....

9.11 Indicate the names, postal and e-mail addresses, telephone numbers and positions of at least three individuals of good standing who would be able to provide a reference on your personal and professional integrity. The referees must not be related to you, and should have known you for at least five years.

	<i>Name of Referee</i>	<i>Postal Address</i>	<i>E-mail address</i>	<i>Tel no. (s)</i>	<i>Position (where applicable)</i>	<i>Relationship with applicant</i>
1.						
2.						
3.						

9.12 Is there any additional information which you consider relevant for the consideration of your suitability or otherwise for the position(s) held/to be held? The omission of material facts

may represent the provision of misleading information

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10. DECLARATION

I am an adult of sound mind. I am aware that it is an offence to knowingly provide any information, which is false or misleading. I am also aware that omitting material information intentionally shall be construed to be an offence.

I certify that the information given above is complete and accurate to the best of my knowledge, and that there are no other facts relevant to this application of which the relevant regulatory authority should be aware.

I undertake to inform the relevant regulatory authority of any material changes to the information provided herein:

NAME.....

POSITION HELD

DATE AT THIS DAY OF.....

SIGNED.....

(Applicant)

(This declaration must be signed in the presence of the witness named below)

WITNESSED BEFORE ME:

COMMISSIONER FOR OATHS/MAGISTRATE

Name:

Signature:

Address:

Date and Stamp:

Attachments:

1. Curriculum Vitae and certified copies of academic and professional certificates.
2. Certified copies of National Identity Card and Personal Identification Number (PIN) certificate.
3. Current credit rating report from a credit reference bureau.
4. Total number and the percentage of shares to be acquired and evidence of the consideration given or to be given for the same.
5. For shareholders, provide a declaration witnessed by an advocate indicating that none of the funds the shareholder, beneficial owners, or directors seeks to invest are from proceeds of crime.
6. Current credit rating report from a credit reference bureau.
7. CR12 and BOF1 for corporate shareholders

FIT AND PROPER FORM FOR BENEFICIAL OWNERS

NB: This form should be duly completed, accompanied by the complete set of documents required under Part III and submitted to the relevant regulatory authority.

1. VIRTUAL ASSET PROVIDER

Name of Virtual Asset Service Provider:

Proposed position

2. PERSONAL INFORMATION

(a) Surname Other Names

(b) Previous Names (if any) by which you have been known:

.....
.....

Reasons for change of names

(c) Year and Place of birth:

(d) Nationality and how acquired

(e) Personal Identification Number (PIN)

(f) Identification Card number and date of issue

(g) Passport number, place and date of issue.....

(h) Postal Address:

(i) Physical Address:

(j) Email address:

(k) Telephone numbers:

(l) Name(s) of your bankers during the last 5 years:

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(m) Responsibilities of proposed position

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.....

3. DESCRIPTION OF PAST AND PRESENT ACTIVITIES IN KENYA AND ABROAD

3.1 SHAREHOLDING (DIRECTLY OWNED OR THROUGH NOMINEES) IN THE PAST 5 YEARS

<i>Company's Name</i>	<i>Certificate of registration No.</i>	<i>Number of Shares held</i>	<i>% of Significant Shareholding</i>	<i>Name and address of Beneficial Owner of shares</i>	<i>Past Shareholding</i>

3.2 DIRECTORSHIPS IN THE PAST 5 YEARS

<i>Company's Name</i>	<i>Certificate of registration No.</i>	<i>Executive or Non- executive</i>	<i>Position held</i>	<i>Date of appointment</i>	<i>Reasons for leaving</i>

4. HISTORY

4.1 Have you ever defaulted in your financial obligations in the last five years?

If yes, give details.....

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.....

4.2 Have you at any time been convicted of any offence involving dishonesty or fraud or contravened any law designed to protect members of the public arising from dishonesty, incompetence, malpractice, misconduct in any jurisdiction. If so, give particulars of the court and case number in which you were convicted, the offence, the penalty imposed and the date of conviction

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.....

4.3 Do you confirm that if appointed as a director of the Company that you will undertake your role diligently, in accordance with the duties of a director under the law and that you will do so without reservation? If so give particulars

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4.4 Do you confirm that if you have the knowledge and understanding of the legal and professional obligations to be assumed or undertaken with your position? If so, give particulars?.....

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4.5 Have you ever been disqualified, under any legislation or regulation from acting as a director or serving in a managerial capacity?

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4.6 Have you, in any country, ever been dismissed from any office or employment, or been asked to resign or resigned from

employment or position of trust or fiduciary appointment? If so
give particulars

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Have you ever been adjudged bankrupt?
If so, give particulars

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4.7 Have you ever been convicted of fraud or theft by a court of
law in any country? If so, give particulars

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4.8 Have you ever been convicted of offences under any virtual
assets law in any country? If so, give particulars

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4.9 Has any entity with which you were associated as a director,
shareholder or manager in any country been in financial distress,
made any compromise or arrangement with its creditors, been
wound up or otherwise ceased business either while you were
associated with it or within three years after you ceased to be
associated with it? If so, give particulars

4.10 Indicate the names, postal and e-mail addresses, telephone numbers and positions of at least three individuals of good standing who would be able to provide a reference on your personal and professional integrity. The referees must not be related to you, and should have known you for at least five years.

	<i>Name of Referee</i>	<i>Postal Address</i>	<i>E-mail address</i>	<i>Tel no. (s)</i>	<i>Position (where applicable)</i>	<i>Relationship with applicant</i>
1.						
2.						
3.						

4.11 Is there any additional information which you consider relevant for the consideration of your suitability or otherwise for the position(s) held/to be held? The omission of material facts may represent the provision of misleading information

.....

5. DECLARATION

I am an adult of sound mind. I am aware that it is an offence to knowingly provide any information, which is false or misleading. I am also aware that omitting material information intentionally shall be construed to be an offence.

I certify that the information given above is complete and accurate to the best of my knowledge, and that there are no other facts relevant to this application of which the relevant regulatory authority should be aware.

I undertake to inform the relevant regulatory authority of any material changes to the information provided herein:

NAME..... POSITION HELD

.....

DATED AT THIS DAY OF.....

SIGNED.....

(Applicant)

(This declaration must be signed in the presence of the witness named below)

WITNESSED BEFORE ME:

COMMISSIONER FOR OATHS/MAGISTRATE

Name:

Signature:

Address:

Date and Stamp:

Attachments:

1. Curriculum Vitae and certified copies of academic and professional certificates.
2. Certified copies of National Identity Card and Personal Identification Number (PIN) certificate.
3. Current credit rating report from a credit reference bureau.
4. Total number and the percentage of shares to be acquired and evidence of the consideration given or to be given for the same.
5. For shareholders, provide a declaration witnessed by an advocate indicating that none of the funds the shareholder, beneficial owners, or directors seeks to invest are from proceeds of crime.
6. Current credit rating report from a credit reference bureau.
7. CR12 and BOF1 for corporate shareholders

**FIT AND PROPER FORM FOR SIGNIFICANT SHAREHOLDERS
AND BENEFICIAL OWNERS**

NB: This form should be duly completed and submitted accompanied by the complete set of documents provided under Regulations.

1. VIRTUAL ASSET PROVIDER

Name of Virtual Asset Service Provider:

.....

Proposed position:

2. INFORMATION

(a) Name of the corporate body/individual

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(b) Previous names (if any) by which you have been known...

.....

(c) Date of incorporation/birth.....

.....

(d) Country of incorporation/birth

.....

(e) Registration No./Identification No./Passport No.

(f) Personal Identification No./Tax Registration No.

(g) Contacts details

(h) Name(s) of your bankers over the last 5 years

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**3. DESCRIPTION OF PAST AND PRESENT ACTIVITIES IN
KENYA AND ABROAD**

3.1 SOURCES OF FUNDS

Please provide details of the actual source(s) of funds that you, as a shareholder, would like to invest or use in the acquisition of shares in the virtual asset service provider.

- (a)
- (b)
- (c)

3.1 Declaration on the sources of funds

Please provide a sworn statement that the funds that you, as a shareholder, would like to invest or use in the acquisition of shares in the virtual asset service provider are not from proceeds of crime.

- 3.2 Have you or any entity with which you are associated as director, shareholder or senior officer, ever held or applied for a license or equivalent authorisation to carry on any business activity in any country? If so, give particulars. If any such application was rejected or withdrawn after it was made or any authorisation revoked, give particulars.

.....

- 3.3 Have you, or any entity with which you have been involved, been censured, disciplined, warned as to future conduct, or publicly criticized by any regulatory authority or any professional body in any country? If so, give particulars

.....

- 3.4 Have you at any time been convicted of any criminal offence in any jurisdiction? If so, give particulars of the court and case number in which you were convicted, the offence, the penalty imposed and the date of conviction

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3.5 Have you, or has any entity with which you are, or have been associated as a director, shareholder or senior officer, been the subject of an investigation, in any country, by a government department or agency, professional association or other regulatory body? If so, give particulars

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3.6 Have you failed to satisfy debt adjudged due and payable by you on order of court, in any country, or have you made any compromise arrangement with your creditors within the last 10 years? If so, give particulars

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3.7 Have you ever been declared bankrupt by a court in any country or has a Bankruptcy petition ever been served on you? If so, give particulars

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3.8 Have you ever been disqualified, under any legislation or regulation from acting as a director or serving in a senior managerial capacity?

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3.9 Have you, in any country, ever been dismissed from any office or employment, or been asked to resign or resigned from employment or position of trust or fiduciary appointment? If so give particulars

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3.10 Have you ever been convicted of offences under any virtual assets law in any country? If so, give particulars

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3.11 Has any entity with which you were associated as a director, shareholder or manager in any country been in financial distress, made any compromise or arrangement with its creditors, been wound up or otherwise ceased business either while you were associated with it or within three years after you ceased to be associated with it? If so, give particulars

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4. DECLARATION

I am aware that it is an offence to knowingly provide any information, which is false or misleading. I am also aware that omitting material information intentionally shall be construed to be an offence.

I certify that the information given above is complete and accurate to the best of my knowledge, and that there are no other facts relevant to this application of which the relevant regulatory authority should be aware.

I undertake to inform the relevant regulatory authority of any material changes to the information provided herein

NAME:

DATED AT:..... THIS..... DAY OF.....
20.....

WITNESSED BEFORE ME:

SIGNED.....
(Applicant)

COMMISSIONER FOR OATHS/MAGISTRATE

Name:

Signature:

Address:

Made on 20.....

Attachments:

1. Curriculum Vitae and certified copies of academic and professional certificates.
2. Certified copies of National Identity Card and Personal Identification Number (PIN) certificate.
3. Current credit rating report from a credit reference bureau.
4. Total number and the percentage of shares to be acquired and evidence of the consideration given or to be given for the same.
5. For shareholders, provide a declaration witnessed by an advocate indicating that none of the funds the shareholder, beneficial owners, or directors seeks to invest are from proceeds of crime.
6. Current credit rating report from a credit reference bureau.
7. CR12 and BOF1 for corporate shareholders

FIFTH SCHEDULE

(rr. 5(2)(h), 73(2)(a) & 73(3))

CAPITAL, SHAREHOLDING AND LIQUIDITY REQUIREMENTS

	Virtual service asset	Paid Up Capital (Kshs)	Shareholders' Funds (Kshs.)	Liquid Capital (Kshs)
1.	Virtual Asset Wallet Provider	50,000,000	50,000,000	10,000,000
2.	Virtual Assets Exchange	50,000,000	50,000,000	10,000,000
3.	Virtual Asset Payment Processor	10,000,000	10,000,000	2,000,000
4.	Virtual Asset Broker	20,000,000	20,000,000	5,000,000 or 8% of total liabilities whichever is higher of its total liabilities, whichever is higher
5.	Virtual Asset Investment Adviser	2,500,000	2,500,000	500,000
6.	Virtual Asset Managers	30,000,000	30,000,000	10,000,000
7.	Virtual Asset Offering Provider - Initial Coin Offering	20,000,000	20,000,000	5,000,000
8.	Virtual Asset Offering Provider - Virtual Asset Tokenization	20,000,000	20,000,000	5,000,000
9.	Virtual Asset Offering Provider - Token Issuance Platform	20,000,000	20,000,000	5,000,000

	Virtual service asset	Paid Up Capital (Kshs)	Shareholders' Funds (Kshs.)	Liquid Capital (Kshs)
10.	Virtual Asset Offering Provider - Stablecoin Issuance	50,000,000	50,000,000	10,000,000

Made on the, 2025.

JOHN MBADI NG'ONG'O

Cabinet Secretary to the National Treasury and Economic Planning.